

How to Swing Trade Crude Oil for *High Profits*



Easy & fast method for making High Profits

Swing Trading Crude Oil

Jose Mosca

How to Swing Trade Crude Oil for *High Profits*

Easy & fast method for making High Profits Swing Trading Crude Oil

By Jose Mosca

Copyright 2018

Brand new crude oil traders *beware*

It is *huge* step when you make the decision to become a crude oil trader. Most brand new traders are getting into this business because they think they can make quick money and become rich beyond their dreams. While that *may* be true, it is not as easy as one thinks and *certainly will not happen* as soon as one thinks. There are only two groups of people who are doing business in the markets, the professionals and the retail investors and traders.

What is that lyric in that one song? “The lure of easy money has a very strong appeal”. Maybe you decided to get into the crude oil trading business of investing and/or investing and trading because you saw some late-night TV commercial about financial or commodities market trading with flashy offers. Perhaps you received a spam e-mail touting some trading method or system that said you could make easy money in the crude oil market; I suggest you reconsider if that’s the case.

New people most of the time *have not* done their research and have no idea they are entering a business where there are people in the live market who *will walk over dead bodies to make money*. They are entering a business where the smart money in the business are looking to drain your trading capital account on a daily basis and most of the time they *do* because new people come into the business unprepared or at best under prepared as well as underfunded and have not developed a trading edge before they enter the market with real money.

New traders have no clue *whose* is in control of the markets and *when* they are in control, do you know when pertinent news on crude oil comes out, *you’d better*. The people who are in control of the crude oil market take advantage of the sheeple of herd as I call them on a daily basis day in day out in the live markets, *especially* those traders trying to trade crude oil intraday.

The smart money is looking to drain the new traders account and transfer it from the new traders account to the smart money’s account. They don’t care if you lose *all* your money to them, it is nothing personal really, they don’t know you, and they certainly don’t care if you are having a bad day in the market. It is just business as usual; the business of making money with money, and most of the time it is *your* money. They are counting on you to make mistakes so they can fuel up their Ferrari’s and G650’s *on your dime*, you feeling me yet?

The sheeple of the herd traders who focus on the prize tend to lose money and *never* achieve their goal are the ones who provide income and revenue for the smart money and the professional traders who have done the proper amount of education and training and are able to spot the sheeple of the herd traders making their same mistakes in the live markets over and over and over again.

It is beautiful because there is a never ending supply of these new sheeple coming into the markets on a daily basis. It is a never ending supply of new money coming into the market to transfer into the account of the professionals and the smart money. It is the best business in the world to be in as far as I am concerned, a never ending supply of money to make? I mean *who* doesn't want to be in *that* kind of business *right*?

By buying this book you have taken the first step needed to end up in the group that achieves consistent *low risk* profits on a daily basis, the professionals and the smart money. If you are not ready to take that step yet then you may be a part of the group called the sheeple of the herd that *provides* those profits. While that may seem like a harsh statement, I think it's important to point out the a few of the harshest realities of how the markets work *right up front*, so you know what's at stake when your hard-earned money is at risk in the live market, it is the sole purpose of this book, *you're welcome*!

A great amount of the information put out by the trading industry education wise is not only taught wrong most of the time it is taught *unrealistically* which also gets brand new crude oil traders into trouble *from the start*. It is most unfortunate for brand new traders coming into the business that they are learning information that can cause them to make a lot of the mistakes detailed in this book and have an unrealistic outlook of the live markets, and as I said, I have even heard industry people say that it is done intentionally so that the smart money can continue to profit.

Trust me when I say there are many junkware selling locusts in the trading/investing education industry trying to sell you a bill of goods that *will not* do you any good in a live market situation with the top traders in the world. I'm certainly not one of those junkware selling locusts as I am not trying to sell you any fancy indicators, methods, systems or "secrets" of the financial markets. I'm not trying to shove any red or green hopium pills down your throat, hell I don't even have a freakin website. What I *do* have though is a lot of knowledge about

what it takes to be consistently profitable as a self-taught and self-directed investor and trader. While I don't share all of my trading edge I can guide in *how to get yours* fairly quickly if you pay attention to what is written in this book.

Now with the advent of YouTube anyone with a freakin video camera can record a video, plop it up on the internet and brand new unknowledgeable traders who are looking for information and seeing this and going "oh this must be right". Beware of this type of marketing as it *can* and *will* get you and your account into a lot of trouble *very quickly*.

I spent days, nights, weekends and holidays watching videos and studying the aspects of trading that I thought were right, and that all the educational books tell you will make a better trader, I can't disagree more now with most of that information.

I love to learn and it was a lot of fun for me however I will say that 95% of what I learned does not help in any way in the way that I trade and invest today. I hope to be able to help you to not waste any valuable education time so that you can be on your way to making money every day faster than I did.

New traders seem to think that faster is better in the markets for whatever reason; it is precisely the opposite actually. The trading industry touts "day trading" on short term chart time frames such as the five minute charts or the two minute charts for scalpers. I will let you in on a secret here; smart money trades and invests on daily and longer term charts. They are in the business of making money, *isn't that what you want to do?* Get the clue here.

New traders prefer smaller time frames because that is what *they are conditioned* to think is the best way to trade. The industry as I said gets paid from new retail sheeple of the herd traders just coming into the business for a long time until they either "*get it*" or have been *completely* cleaned out of all their money and have blown out their account, which in the crude oil market is very easy to do and *quickly*.

Just remember, the lower you go in time frame the more you are actually *dramatically increasing your risk* because you end up trading nothing but noise. *Why* would you want to do that, increase your risk? You must be able to see the larger context of what the market is doing to be able to distinguish what may be opportunity from just random price rotation and noise. The smaller the time

frame you trade the less likely you are to succeed, *just trust me on that*. Crude is one of the fastest moving markets there is in the financial market world and should you *not* be prepared for the volatility and brutality of what is happening in there *you will* get **FUBAR**, *I assure you of it*.

To be consistently successful over the long term you have to at least occasionally have the big winning trade. That is done on the daily or higher time frame chart. The biggest money and the “*easiest*” money are made outside the intraday timeframe especially in crude oil. I know you probably won’t listen to me and you *will* day trade to start off however if you find yourself losing money in the very beginning maybe just refer back to this section of this book and perhaps re-read it.

The biggest thing that almost all new traders get wrong is their expectations of *what kind of money* they can make in the market to begin with as a brand new trader. I will tell you right now in case you don’t know; it won’t be much, if anything, and most likely you *will* lose some of your startup capital. Why does this happen to every brand new trader who enters the business? Most of the time it is because they have not taken the proper amount of time to *really do* their homework and answer all of the questions they need to about themselves *before* they start their trading business.

New traders tend to complicate things for themselves in the beginning by try to absorb too much information at one time. If you are reading this book for the first time, trust me when I say you *cannot* learn it all at one time or in a short amount of time. This business takes a good while to learn how to do the *right way*. If you are not going to have the time or want to dedicate the time to learning this business the right way from day one I *strongly* encourage you to look into another profession, and you *damn sure* had better not wonder into the live crude oil trading pit.

It is not about *how much* you know in this business but about the *quality* of what you know. Instead of learning it the simple way and keeping things very simple brand new traders tend to over complicate their learning by trying to learn and use *all the indicators in the universe*. They put all the pretty colored indicators on their charts thinking that they are going to become better traders and make lots of money by having them on the chart, *nothing could be further from the truth actually!*

Here is a *huge tip* I will give you right now. I will put it to you in question form.

Why do you think they have so many hotties on CNBC and CNN finance? It because sex sells as they say, do you think for one second that any of those honeys you're ogling have one bit of market knowledge they aren't reading off a teleprompter? I won't even get started on that fuckin big mouth Jim Cramer, that's an entire book in itself. LOL For fuck sake **never ever** listen to those people, they are doing what is called in the business information herding and I will explain more about that a little later in the book.

The rest of this book is going to detail a lot of what the brand new crude oil traders need to know *right away* to be able to make *real* money right away. I will also be telling you more about what the Wall Street Muppet masters look for on a price chart and how they see you coming mile away. Then I will tell you how you can turn the tables on them and begin to make money off their dirty work and also tell you how to see your competition and who *they* are. It is completely up to *you* to learn this business the right way, *will you?* You ever see one of those old movies and the guy back hand slaps the other guy in the face and goes "*get ahold of yourself man*" that's what this book is meant to do, because there are some badass people in the live market and they are looking for **you**. Like I said, you better get a fuckin clue here because the alternative of *not being prepared* to enter this business is you lose **all** your money to the sharks, *is that what you want?*

Here is something you can put in your pipe and smoke and think about: Day traders are the only traders that work 80 hours a week to be able to have more free time. Do you get it? *Ok let's do this then!*

<<<>>><<>>>

Table of Contents

[Brand new crude oil traders *beware*](#)

[Be aware of what is happening and *don't* get information herded](#)

[If you're going to trade and invest in crude oil you'd better know *why*](#)

[Education and training for crude oil trading is *no different* than any other type of trading or investing – it *must* be done right](#)

[A chart is a chart and supply and demand is supply and demand – period](#)

[Do you like money? You'd better if you intend to swing trade crude oil](#)

[Rules are rules and you better follow yours trading crude oil or you'll get eaten by sharks](#)

[The markets *only* work on supply and demand – shouldn't *that* be you're trading method then?](#)

[Price and time are all that matter to professional crude oil traders](#)

[No fancy indicators need to make money in crude oil trading – here's why](#)

[Trade crude oil like a Wall Street Profiteer – you must have a *kill everyone* mentality](#)

[You *must* overcome the fear of “pulling the trigger” on a crude oil trade](#)

[Smart ways to play crude oil](#)

[*Easiest fastest* method beginners can learn to trade crude oil right away](#)

[Bonus chapters for beginner crude oil traders](#)

[3 things that will help you win more trades – large PM, correlation, confluence in signals](#)

[Develop a “*smart plan*” then implement it for trading crude oil](#)

[My final advice to self-directed crude oil traders looking to make a play](#)

[Here's your reality check](#)

[Bonus section](#)

[Extra links](#)

[Glossary](#)

[Disclaimer](#)

Be aware of what is happening and *don't* get information herded

There is a lot going on right now as of the writing of **How to Swing Trade Crude Oil for High Profits**. Crude oil is in contango, the Saudi's and Iran are having a spat and then there is Russia meddling in Syria and also the trading sanctions against Iran over their nuclear program have been lifted and now their long built crude oil supply is going to come into the world markets and add to a "supply glut" that has been going on since December of 2014 and has seen the price of crude oil plummet 70+% up to the writing of this book. How can you make money from all of that? We'll be talking about that in just a little while however first you need to know some beginner information about what and how to go about the best way to invest and trade crude oil.

The talking heads on the TV *get paid* to say what they are saying about xyz companies stock doing this or that. Think about that logically for a moment if you will. What are the talking heads saying, where is the price of the stock or in this case crude oil? There was a report out recently while this whole crude oil debacle has been going on that the Saudi's were entertaining thoughts of going public with part of their State-Run *Aramco* business and that just goes to show *how ludicrous this whole thing has become*.

If the news is *good* the stock is most likely approaching a high level supply value area where the smart money and professionals are getting ready to sell to the unsuspecting retail sheeple of the herd traders who have been conditioned to buy high. Where is crude oil at this juncture? At some of the lowest prices it has been since 2009 as of the writing of this book, although it is starting to creep back up albeit very slowly.

On the flip side if the news is *bad* price is most likely approaching a high level demand value area where again the smart money and professionals are prepared to buy from the retail traders who are making their same mistakes over and over again by selling low. This happens every day in the market to unsuspecting brand new traders because they are taught wrong and realistically from the start.

It doesn't matter if it is the equities market, Forex or crude oil futures, the news is *always* being reported just the opposite of what you should be doing the trading industry and the smart money guide the sheeple of the herd with information herding techniques. As I said, it is called information herding and it goes on more than you know as a self-directed newbie beginner. The media and the trading

industry count on brand new traders and investors not doing there due diligence (DD) and making the mistake of buying high and selling low.

The above example is a form of information herding that goes on in the markets all the time *especially* in crude oil. Price action stopped right at an area of previous demand where there unfilled buy orders of the smart money left residing in the market from the last time price was there. They're orders did not get filled before price became out of balance and started to go up. The news reaction just sped up what would have happened at some point anyway, it just expedited it more rapidly. Smart money filled some orders and then price turned right around and started moving higher the next day. This happens every day in the market and is that information herding I was talking about earlier.

The news hotties *are* smoking hot there's no doubt about it, **however**, just cause they look smoking hot in their tight sweaters doesn't mean you have to listen to WTF they're saying *right*, I mean if they tell you hey newbie trader, "drive your Ferrari to the top of the volcano get out and just dive right in" are you going to just blindly do it? Same can be said about just listening to them telling you to buy or sell something in the live markets, except it is you're account that will be smoking, you dig?

Consistently profitable professionals know that the herd has all studied the same information and looks at all the same kind of charts to try to make their decisions from. These professionals are doing just the opposite. They are only investing and trading using the dynamic market principles of supply and demand. They know that this is the only way that price action moves in the live markets. They are only paying attention to time and price.

They are able to see where the smart money have their orders in the markets and then just place their orders right along with the smart money. Then when the retail herd traders make their mistakes and buy when they should be selling and sell when they should be buying the smart money and the smart professional's investors and traders get paid from the herd traders.

The smart money herd the retail investors and traders right to where they want them to go and then do just the opposite of what the herd is doing. This can be seen when major data point like GDP or the jobs data comes out. Retail herd traders make emotional decisions and react to these events with fear or greed and cause themselves to make errors in judgment that cost them a lot of money.

The rest of **How to Swing Trade Crude Oil for High Profits** is going to detail a lot of what the brand new traders need to know *right away* to be able to make *real* money right away. I will also be telling you more about what the Wall Street sharks look for on a price chart and how they see you coming mile away. Then I will tell you how you can turn the tables on them and begin to make money off their dirty work and also tell you how to see your competition and who *they* are. It is completely up to *you* to learn this business the right way. Will you?

<<<>>><<<>>>

If you're going to trade and invest in crude oil you'd better know *why*

Begin with the end in mind I always say. There are a lot of things to consider when thinking about becoming a professional market investor and trader. You are the one who is making the decision to get into the trading and investing business, no one is making you do it. It is a big step for someone to take the plunge into the world of making money with money. One has to look inside one's self and ask some very hard questions before they start driving their own money train down the tracks to riches in the live markets.

It is very important to have figured out what your ultimate goals are *before* you step foot into the markets with your hard earned real money. Questions I ask new people are: are you trading for short term income or long term wealth building? Are you trying to build up your account balance to be able to take on more risk and trade larger size? I ask them *why* they want to do this business. I ask them if they know what their goals for the long term are and if they are thinking with a long term perspective.

If a new investor or trader cannot answer these questions right away I just encourage them to *stay out* of the live markets until they can answer them and be honest. I also will ask them how much capital they plan to enter the live markets to work with. There is no point in trying to enter the live markets with scared money.

Here are some of the main things you need to ask yourself and have made a decision on *before* you get going. Are you trading for short term income? Are you trading to build up an account balance so you can start trading multiple shares, lots or contracts? Are you trading for long term wealth goals and/or retirement and wish to be a *buy* and *hold* type of investor?

What kind of investor or trader do you desire to be? You should know this *before* beginning this business. Figure out what style of investing or trading suits your personality the best. Do you want to day trade, swing trade, or position trade? What kind of time are you looking to put in on a daily basis? What kind of returns are you looking at monetarily? Are you the type of person who has a lot of time to devote to looking at charts in the live market to be a day trader? While I *do not* recommend day trading, it is possible; however, it requires a lot of time, preparation and a large amount capital. I know very few successful day traders.

While I *do not* recommend day trading, it is possible; however, it requires a lot of time, preparation and a *large* amount capital. I know very few successful day traders. But if you are going to try it, **How to Swing Trade Crude Oil for High Profits** will tell you how you can do it with ***as little as \$500 to start off***.

There are only a few different ways to be a market speculator - which way is best for you? You would either become an intraday trader, a swing trader or position trader. Do you like action? Maybe you want to be a scalper and get in and out of trades very quickly and take many trades in one day. You need a speedy internet connection for this type of trading.

I am sorry to inform you that there is ***no such thing*** as scalping unless you are an algorithm. *Are you an algorithm?* I think not! Even *if* you could scalp you would need to be using an account size of five hundred thousand dollars or more to make it worth the costs that you would incur doing that type of trading. Don't be a kook and try it because as a retail trader you will lose ***all*** of your freakin money. ***ALLLLL OOOOOF ITTTTTT!***

If you want to swing trade, you will need to have the capital in your account to handle the overnight margin requirement of whatever your chosen instrument is to work in. CAUTION: If you are new and have to use leverage to trade, you just shouldn't trade. *Stay out* until you have sufficient capital to go into the market and be able to have a chance to make money.

You can also become a position investor and trader and keep positions for a long term time horizon. Most position investors and traders are in a position for months and sometimes years. These are the most successful consistently profitable money making investors and traders in the business. It is this type of investing and trading which over the long term makes the most amount of money.

One of the reasons this type of investing and trading is so profitable is because the expenses associated with this type of market action are low and do not add up as quickly as they do with other types of trading. Remember it takes money to make money and also *costs* money to make money in the live markets.

If you would like to be more of an investor or position trader, then you will also need to be well-funded to sustain a draw-down on a position of as much as 50 percent. Should you not have the mental wherewithal to sit through a 50 percent

draw-down on any given position in your portfolio, then again I recommend just staying out of the live markets until you have the psychological makeup to do so.

The next thing you need to make a decision on before doing anything is how much money you plan to capitalize your new investing and trading business with. As has been said before and will be said again right here and now. *Only trade with money you can afford to lose.*

Here is a visualization you can do to get that last sentence in perspective as a newbie. Picture yourself throwing your starting capital into your barbeque, turning the barbeque all the way up to the highest flame or like we were discussing earlier throwing all your hard earned money into the bon fire at the party you're throwing for yourself for starting your new trading business then watching your money burn up in flames and smoke right before your very eyes.

I recommend picking *one style* of investing or trading and becoming an expert at it. Find a few instruments you like and study their price action and work in those exclusively. You *do not* need to work in *every* asset class there is. You also do not need to *be in* the market all the time because cash is also a position.

I *strongly* recommend you know what type of market investor or trader you desire to be and whether you will be active or passive and *before* you start to study or learn any information related to market investing. Being *well prepared* can help cut down on the long learning curve there is to becoming successful in this business.

There are a lot of serious realistic questions you must ask yourself and have answered *truthfully* before you begin in this business and especially before you put any of your hard earned money on the line in the live markets. My best advice to you in this section is to *get real* about what you think trading is. Do some research if you have not already; learn what is realistic, and what *is not* in this business. You will save yourself a lot of time *and* money. Start your trading business with realistic goals and reasonable expectations; you'll set yourself up for better success.

The more of these questions you have answered *before* you begin to do anything in this business the better prepared you will be to become successful. There are no guarantees in the market. It is all about preparedness and you are the only one making you do this business so I encourage you to listen to the advice given in this section *very carefully*. It is *strongly recommended* that you have all of the above issues resolved *before* taking *any* action with real money in the live markets.

It all starts with *you*. It also ends there if you're not diligent in what you do. Once you have decided on *how* you approach the market it is important to *stick with your decision*. Are you going to trade crude oil futures, through ETF's or in equities of crude oil sector companies? Do you know the difference?

If you are going to trade are you going to do it in the equities of crude oil sector companies or the crude oil futures? There is a big difference at what you can *get away with* in each one and you should know the differences between them and base your decision of which to work in on the information you get from your research.

What kinds of charts do you trade crude futures or equities or ETF's on, daily, monthly, intraday? Are you a day trader, swing trader or market investor of futures or equities? You should have *all* of these questions answered *before* studying anything or ever stepping foot in the live market with real money.

It is important to know *all* this information first in order to plan out what type of education and training one will do when entering the learning phase of the knowledge curve. There is a lot to know to be successful in the investing and trading business so it is crucial to know what type of market participant you would like to be in order to not waste any learning time (or hard earned money) for that matter.

What is the best job you never thought of? I bet it wasn't day trader, investor, or high frequency day trader? Was it money manager/day trader, risk manager/day trader? For the type of job I am writing about in this book there isn't even a high school diploma or MBA needed!!! Hell no clothes needed for that matter! Where else can you go to work stark naked and make an unlimited income, *only in this business*, and only if you're doing it from home. LOL

You absolutely *do not* need a big fancy degree from a big fancy Ivy League college to become successful at the business of making money with money. All the information you need to do this business is readily available online if you know *where* to get it. You *will* need to develop your own time management skills though. There are some extra links at the end of the book to help you expedite some of your learning curve time. *You're welcome!*

I will talk about where to go to get the information you need to become

consistently profitable in this business a little later however right now I want to tell about how good it is to be able to do this business and work for yourself as a self-directed trader and investor. My guess is that right now you are an “at will” employee of where ever it is you work at. If you don’t know what “at will” employment means here is a link to an explanation of it, and you should pay attention to what it says. https://en.wikipedia.org/wiki/At-will_employment

The amount of time you want to work is up to you (I bet you can’t do that right now). In your own trading business you are the boss *right*? You make the decisions as to *when* you want to work and *for how long*. Since I position trade I might spend 30 minutes a week analyzing my charts. I suggest if you are brand new to the trading business that you spend at least 10 minutes a day reviewing your positions at the very minimum. Could you get your head around only working 30 minutes a week and making an *unlimited* income?

You can pick the best time of day *which suits your lifestyle to work* in the financial markets. You can work in any session there is in which the markets are open. There are many to choose from so you have the chance to make money when it is convenient for *you*. That’s the beauty of it!

What I am trying to point out is that by being in the investing and trading business as a self-directed trader you can have all the freedom you will ever want and make all the money you will ever need. Perhaps you desire to make a better life for your family and be able to spend more time with them.

The markets are there for people to make money every day. All you have to do is learn what to do the right way and then *go in there and get it.* If you’re sick of *driving to a job you hate* everyday then read on, **How to Swing Trade Crude Oil for High Profits** is for you. My commute to work is the ten steps it takes me to walk from my bedroom to my office where my workstation is, where my trusted assistant Angel my cat already has the charts of the day all analyzed and annotated. Ten steps to go to work versus what, an hour drive? *Can you get your head around that?*

Just because you have an MBA from Harvard or Columbia business school *does not* mean you will be able to be successful in the live financial markets it just means you paid a lot of money for a good education from a good school. I have a very high degree of education and still had to start with the basics and progress up through the various levels of proficiency to get to where I am today. Even if you

did have an MBA from one of the aforementioned schools, and you were *lucky enough* to land at a hedge fund or Wall Street bank it would not help you in any way because you would be taught their method and system from scratch and have to follow it *as if your very life depended on it*.

Investing and trading futures is the best business in the world as far as I am concerned. It is the only business I know of where you can be at the beach on a beautiful sunny day or scuba diving or flying to Europe for the weekend to meet up with friends and still be making an *unlimited amount* of money the whole time you're doing it.

You want to learn to invest in and trade right? You want to make money and have a lot of freedom right? Do what it says in **How to Swing Trade Crude Oil for High Profits** and you can be on your way to giving yourself and your family the best life you could ever imagine all from the comfort of your own home perhaps. I walk from my bedroom to my office and that is my commute to work for the day. *Can you get your head around that?*

I am giving you clear, concise and highly informative information in **How to Swing Trade Crude Oil for High Profits** that would take you *years* to uncover on your own. No amount of search engine queries' could come up with all of the information I am giving you in this book in one place let alone at one time. I do not ever presume to tell you how to run your life however if you do what it says in this book your life and that of your family can be *MUCH* easier if you do it the right way the first time!

If you need to learn this business from the ground up and want to use supply and demand as your trading method then **How to Swing Trade Crude Oil for High Profits** is definitely for you. I encourage you to read it as many times as it takes for it to become clear to you as to what you do and do not need to learn to be successful in this business from the start. There are no guarantees in the markets however you must know the right information from the start to have a chance of becoming successful.

All the expenses on the wrong education you are going to save by reading this book and putting the principles to work for yourself to make money I think you could buy me a few thousand pounds of fuel for my G650. What do you say? That's a joke you can't afford G650 fuel right now but someday you will! You can do well in the markets and just get a G650 of your own.

In **How to Swing Trade Crude Oil for High Profits** I give you brutally honest realism of investing and trading and what you need to know, the *GOOD* and the *BAD* before you even start to study anything. I tell you everything *NOT* to do that causes people who come into this business with dollar signs in the eyes to get FUBAR by the smart money. I give simple explanations that even a 12 year old can understand. If you read a passage in this book and it says hey "*don't do this*" then guess what? ***DON'T DO IT!!***

When I give a reference I will put the web link to it and also tell you how to find more information and even how to word the search string for your search engine of choice. Doesn't matter which one you use as they all lead to the same data. I give you specific actions you can take to know what to do *BEFORE* you ever start investing or trading with real money. There are some great clickable links in the extra links section at the end of the book to give more information.

I have tried to keep **How to Swing Trade Crude Oil for High Profits** light, fun and somewhat humorous so as not be too bossy. Learning this business does not have to be dry, tedious and boring. I wrote it as I said for the new investor and trader who has *zero* experience and needs a lift off point of reference, this book is it.

Investing and trading in the crude oil futures and equities markets is a hard business to be in if you don't know what you are doing. You can lose *all* of your hard earned money in the markets if you do not take the time to do what it takes to get the right education and training the right way from the start. The learning curve in this business *AND IT IS A BUSINESS* can be long, brutal and *very very expensive* if learned the wrong way. **How to Swing Trade Crude Oil for High Profits** aims to show you the right way the first time and *greatly reduce* that long learning curve by showing you what the market is really made of and *who* is actually in control of it and *when* they are in control of it.

All of the information or pieces to the puzzle if that is what you would like to call it are out there. Gordon Gekko also said "The most valuable commodity I know of is information". I also say the even beyond that is to know *how* and *where* to get that information is priceless. The professionals have learned how to do this and are experts at it in the assets they invest and trade in. They have studied and mastered the skill of knowing how to quantify price action on a chart and are able to see where the smart money has their unfilled orders residing in the live market.

The key is to know what kind of trader you desire to be and know this information first in order to plan out what type of education and training one will do when entering the learning phase of the knowledge curve. There is a lot to know to be successful in the futures investing and trading business so it is crucial to know *what type* of market participant you would like to be in order to not waste any learning time (or hard earned money) for that matter.

These next sections coming up are going to give you a *basic* understanding of reading a price chart, price action and few other skills you need to master right away. You will learn much more in-depth chart reading skills to help you make buying and selling decisions in the live markets using your real money as you progress after reading **How to Swing Trade Crude Oil for High Profits** and completing your education and training, there is also a very easy method beginners can learn fast and make money right away swing trading crude oil.

The information in **How to Swing Trade Crude Oil for High Profits** is some of the most important information you will *ever* read in your life about trading and investing crude oil so I encourage you to read it slow and take notes if you can or if you bought the paperback of **How to Swing Trade Crude Oil for High Profits** you can just high lite the sections you want to go back and read again.

<<<>>><<<>>>

Education and training for crude oil trading is *no different* than any other type of trading or investing – it *must* be done right

The live markets are an intimidating and brutal place for someone who starts off with the wrong information, *let alone the crude oil market*. They can be a mysterious, murky, and complicated place for the ill advised. By following the advice in **How to Swing Trade Crude Oil for High Profits** and keeping it simple and taking very slow and absorbing every detail you can have the best chance for a high probability outcome as a successful market participant. Make no mistake the markets can make you *lose your mind, burn your soul, and help you to lose all your money*. Quickly!!

You will know in the first five pages of **How to Swing Trade Crude Oil for High Profits** whether you want to pursue trading crude oil and doing this business or not. There are quite a few things you have to make decisions about *before* you even begin your pursuit of education and learning and I hope to give you the right information in order for you to make the right decisions from the start.

When I give a reference I will put the web link to it and also tell you how to find more information and even how to word the search string for your search engine of choice. *Doesn't matter* which one you use as they all lead to the same data. I give you specific actions you can take to know what to do *BEFORE* you ever start investing or trading with real money.

Terminology and industry jargon has been kept to a minimum so that if English is not your native language you are still able to fully understand and comprehend what is being spoken about. I also tried to write it in plain, simple and clear enough language so that it can be translated into any language in the world if need be. There is a glossary of abbreviations at the end to help you with the market speak that is sometimes shortened, and also some extra tips and links to help you in your education.

The market and the business of the market are about ***making money***. The markets are there for people to make money every day. You just have to go in there and get it. Once you know what you are doing and have done the proper education and training it is not that hard.

Learning the right information needed to get started is one of the most critical steps to be a successful market participant over the long term. Professional investors and traders know this and have taken all the proper education and

training they needed to become successful.

The average time frame that it takes someone to go from starting with absolute *zero knowledge* and learning the business from scratch to consistently profitable on a daily basis is said to be in the neighborhood of 3-5 years, I know that's *not* what you want to hear but *it is* the harsh reality. The reason the learning curve is so long for some brand new traders is because they try to learn *everything* all at one time.

I liken doing training for day trading to driving a Formula One race car. You cannot just get in the car and drive it. You must learn *all* the technical aspects of how the car operates first. To get into this type of car without knowing what to do could cost you your life.

Another example I can give is learning to be a neurosurgeon. You can't just read some books, take a few courses perhaps, and then walk into an operating room and start doing brain surgery. It is more like 8-10 years of continuous very rigorous training and hands on application.

The same applies for learning trading. You first need to become familiar with chart reading, price action, market dynamics, supply and demand trading and how the trading platform you are using works and how to execute a position, place a stop loss order and exit order on the given platform. This list can go *on* and *on* for a long time depending on how much you want to learn. The result of *not* doing the proper preparation in *this* business though is that you lose *all* your money.

It is my hope that by releasing **How to Swing Trade Crude Oil for High Profits** in this way, a new investor and trader will be able to learn what they need to know. Save your time and money by engaging in the financial market education the right way, the first time.

There is an *endless* amount of information out there on investing and trading, however, no one breaks down the information for people who have *zero* experience. The way I am releasing the information will *cut down your learning curve*, should you decide to make a go of it in this business. **How to Swing Trade Crude Oil for High Profits** gives you an excellent chance of succeeding if you take the advice and *do it the right way*.

<<<>>><<<>>>

A chart is a chart and supply and demand is supply and demand – period

This section is going to give you a *basic* understanding of reading a price chart, price action and few other skills you need to master right away if you wish to do set it and forget it type trading. You will learn much more in-depth chart reading skills to help you make buying and selling decisions in the live markets using your real money as you progress after reading this book and completing your education and training.

The first basic knowledge that a new investor and trader needs to learn is to how to read a price chart, read price action of the financial instruments they desire to work within, learn how to use supply and demand value areas to trade from. Mastering these skills and becoming competent at them is critical to being able to move forward and becoming consistently profitable on a daily basis.

Knowing how to read a price chart and price action can arm you with the edge you need to have the highest probability of having a positive outcome in the live markets you chose to work in. I strongly urge you to learn chart reading and price action if you want to be successful in today's fast moving markets. Reading price action on a chart properly and using supply and demand to trade is what wins in today's financial markets. You can do it however you want however trust me when I say that if you should skip a step or miss something it can/will cause you to lose some money in the live market.

A price chart is the graphical representation of how a financial instrument travels to supply and demand value areas over a set period of time. The chart shows where price action is and also where it *IS NOT*. In other words how long did price spend in a value area and how far away from the area did it travel over time before returning to that value area.

This graphical representation of price action or PA can take a few different forms. Price action can look like lines, bars, candle sticks, point and figure, etc. I use candle sticks because that is how I see PA the best. You should use what charts you see price action the best with.

There is a lot of information that candle sticks can show on the price chart besides PA however that is beyond the scope of this basic book. I encourage you to get comfortable with using candle sticks and knowing the basic formations, what they mean and are used for. There are excellent free candle stick courses online and I

encourage you to use them, you might look up Lance Beggs or Stephen Bigalow.

Price only moves up sideways or down. It can't be that hard to learn right? It is all other information coming at an investor and trader which cause them to fumble and make mistakes. New investors and traders make mistakes because they do not take the proper time to learn how to read a price chart and the price action of the asset class they want to work in.

Learning to read a price chart properly takes some time and learning to read the price action of a specific instrument can take a long time to get to know all the nuances of the price action of that particular market. It does not happen overnight. All the information an investor or trader needs is right there on the chart in front of them they just have to train their eyes to see it.

It is also recommended that you study and learn the price action of your chosen instruments intimately in order to be able to know when the anticipated turns will occur. The signs of these turns are right there in front of your eyes on the price chart. It is your job to be able to spot them in real time and act on them accordingly to make money. You need to be able to look left to trade right. What is to the left has already happened, and while there is some useful data there, it is critical to know what will happen at the hard right edge and *when* it will happen.

Why price moves in these ways is to get to the areas we will be discussing shortly. It is only based on one thing and that is supply and demand in the market. Learning to be able to quantify and visually spot this on a price chart is most important for you to be able to make real money in the live markets every day.

There are only 5 outcomes from the 3 actions I stated above.

1. Make a lot of money 2. Make a little money. 3. Breakeven 4. Lose a little money 5. Lose A LOT OF MONEY!! I shout that because it's important. You need to learn how to do the first 4 and avoid doing number 5 although it can happen. To avoid doing number 5 you must **ALWAYS use a stop loss order**. ALWAYS!!! This will keep you from losing too much of your capital. If you do not have a SL (stop loss) on every position your account will be at risk of possibly blowing out. There is a saying in Vegas (amongst many) "if you don't have any chips left you can't sit at the table".

If you can learn to do numbers 1-4 above and not do the very dreaded number 5

you can make a very nice living investing and trading the any of the live markets.

Other than knowing that PA only goes up, down and sideways and using candle sticks to see this PA on the price charts it is very basic and really all you need to know. Traders and investors often make it very hard on themselves by trying to digest too much information (TMI). This only leads to losing money and is not recommended.

The human brain can only process so much information at one time. If you keep it simple that's what it will be. Don't over think it. I strongly encourage you to keep this fact as part of your trading and investing plan as it will serve you well for the rest of your career in your investing and trading business.

The other main thing you need to be able to read on the price chart is where the unfilled orders of the smart money reside in the live market. You need to be able to see this at a glance then quantify it and use the information to make a decision whether you would like to enter the market where the smart money are entering the market and be a participant along with them.

Everything you need to know is right on the price chart you are looking at every day. Once you know what to look for and learn to see it in real time *you're good*. Learn to read price action on a Forex chart, a crude oil futures chart (or any chart), and that will be 95% of what you need to know right there. It can be the other 5% is where there are some issues.

What do you think moves price action in the market from one value area to another? Filled orders or unfilled orders? If you don't know it's OK I am going to tell you right now in this book. It's the unfilled orders of the smart money that do it.

I am also going to tell you how to see them on a price chart in real time and how to take advantage of those whose orders they are. To see them you are looking for mostly areas where price is in out of balance and the signs of this are usually smaller bodied candles with barley any price action or volume in them, which is just the opposite of what is taught in all the books and trading courses. Why do you think that is?

Once you learn to see these value areas and quantify them in real time you will be able to invest in any asset class in any time frame, you will also be able to have

the confidence to set it and forget it. This is the most robust method of investing and trading there is today and has been this way since the beginning of time. Every new trader thinks they need some magic method or indicator and they are sadly mistaken.

Price action you see on the charts in front of you is a graphic representation of what has already happened. What happened you ask? Orders were filled and that is what you see in the cool looking candles on the chart. It's what has *not* happened yet at the hard right edge of the chart that is the most important thing to need to be able to learn to see and read on the price chart. It's the unfilled orders of the banks and institutional players, dark pool players, and where they reside in the live market.

It is at these value areas where you want to put your hard earned money to work in the market and then let these big guys do all the heavy moving and shaking. They are indeed the only ones who have the power and money to move price and their unfilled orders are what does it. At areas of huge supply and demand imbalance this is where this takes place. When you see a huge spike or a big old huge green or red candle it's *them* and *them only*. Learn to see this and you can make money with them very easily.

Is this something you can do over night? *Not really*. It takes time to learn to read price action. It takes time to learn to read the price action of the instrument you want to trade regularly. How much time is up to you? The more time you spend with it the better you will get to know its nuances and how and where the orders are.

Once you can see this in *real time* you will be on your way. I can't stress enough how important this is. Choose not to learn to do this and you will for sure lose some money perhaps all of it. Make no mistake about it *there are people in the markets who are there to take all your money*.

Remember this also that when you are doing your demo trading practice, no one is on the other end of the trade your placing because the trade is not being transmitted to the live market. Don't get used to trading demo like it is some video game, *It's not* and you'll be sorry you did that and so will your real money account.

There are plenty of chart examples for learning chart reading at this link <http://www.forexfactory.com/showthread.php?t=428204>. Don't worry that the

thread mostly is dealing with Forex trading. The idea is to learn all the rules and to learn to see supply and demand in real time. All of the rules of using supply and demand for your trading are listed on the first page of this thread. I encourage you to print them out and study them thoroughly then begin looking at the chart examples the traders there have posted.

I strongly encourage you to learn the price action of your chosen instrument(s) of choice intimately and familiarize yourself with the times your market has its best movements. Knowing when the smart money liquidity providers are moving the markets you want to work in is critical so you can be there to ride along with them and make money while they are doing all the hard work. It doesn't get any better than that! *Only deploy your capital in the live market when the liquidity providers are providing liquidity.*

<<<>>><<>>>

Do you like money? You'd better if you intend to swing trade crude oil

This section is worth its weight in gold and the information is *priceless* for a brand new self-directed trader and while lengthy it is worth every cent you paid for this book. If you have zero experience or have already started your trading business but have begun to falter it's OK. The information I am going to give to you in this section is the *most important information you will ever receive in your trading career about money* so I encourage you to really take the time to absorb it and follow it if you would like to be a consistently profitable market participant.

Strict money management and risk control *is essential* to achieve long-term success in the financial markets. The high level of leverage and margin available to traders makes it important to manage risk exposure and to avoid overleveraged positions. As I said earlier if you are going to use leverage or margin you had better learn *everything* about it and what can happen to you if you get jammed up on a trade going bad on you. *Always trade with a stop loss!*

If I had only 1 tip I could give brand new investors and traders coming into the business who have zero knowledge and have not done any research, training or education yet, I would tell them to study money management and risk management first *before* they even begin to look at any other information about the investing and trading business. If you only take away one thing from reading this entire book I would tell you it should be that to study money management and risk management *first* will be the most important you have ever done for yourself as an investor and trader.

New people *do not spend nearly enough time* learning about risk management and money management and it gets them into trouble right from the start. You need to have a risk management plan to be able to be consistently profitable in investing and trading in the live markets. If you don't, you might as well write a check to your broker for the entire balance of your capital account because you will undoubtedly lose *every bit of it* without a plan.

Being wrong in trading isn't *wrong* however *staying wrong* in trading will be *death* to your account! Your job in your investing and trading business is to be a money manager not a money maker. You get paid to take risks yes, however you have to be an expert at controlling them, the money is just a byproduct of that function. The truth of it is simple, money management wins over time, there is no other way to put it. The very first thing that a brand new trader should learn and *understand*

completely is risk and money management.

All of the people I know in this business who are money makers actually do not even worry about making money. Their sole focus is preserving the capital *they already have*. They manage their risk on every position at all costs and know that they can have a loser every now and then and are ok with it.

When people ask me for help getting started in the trading business one of the first things I ask them is if they have studied money management and risk management. To many times I have had people come to me for mentoring help and I ask them how much time they spent on learning money management. Most of the time, the answer I get is “what do you mean”; it never surprises me and is the response I anticipate.

If a brand new trader takes the time to learn money management in the beginning there won't be any having to go backward in the learning curve, which can get **verrrrry expensive**. Unfortunately *no one* tells new traders they need to study money management first and they are left to fill in the blanks themselves. Well now, if you have purchased this book and you are brand new to trading, you know that you need to study money management first if you don't want to lose money in the live market.

The number one thing I have people learn who come to me for help when they are first starting out is risk and money management, they don't get to learn *anything* else before this is mastered 100%. This is the one area where most new people make some of their mistakes. I find that they are quick to jump into trading their demo accounts once they have some knowledge about the mechanics of trading however they have spent *very little* or *no time at all* on learning money management. Once they start losing money right away they wonder what the heck is happening and *why* things are working like they thought.

Everyone wants to make *some* money in the live markets. That is what this business is all about however one must take the *proper steps* to make sure that they have all of the information to be able to do so in the *live* market. Without proper money management skills it is very easy to develop bad habits on the demo account which when taken with them into a live market situation *can cause serious damage* to a real money account and very quickly. These bad habits are very hard to break once they are developed and ingrained into the traders psyche.

In learning money management a new self-directed investor or trader can begin to see what their own personal risk tolerance is. You *must* know this *before* ever stepping foot in the live market with your hard earned real money. There are plenty of scenarios and formulas for risk management however what most investors and traders find out is that they will only want to lose a *set sum of money* before saying OK that's enough and close out a losing position with a loss. Part of being a winning professional trader is to learn how to lose professionally as well. You *will not* win every single position you enter, you should *also* be prepared for *that*.

Money management in the live market is what it is all about not trading. You don't actually make money by trading you make money by being in the market *in* your position. If you don't have any money left you can't *be* in the market.

To succeed at trading the financial markets, you need to not only thoroughly understand position sizing, and risk amount per trade, you also need to *consistently execute* each of these aspects of money management in combination with a highly effective yet simple to understand trading strategy that uses price action in conjunction with supply and demand principles.

Learning money management requires time and attention to detail that most all new traders are not willing to do. Once you have a live position in the market you go from be a trader to a risk and money manager. The only thing you have control over once you are in the live market is how much money you *don't lose*.

Experienced successful investors and traders know that employing a rule based money management strategy is one of critical concepts of risk management. Money management for account preservation is not sexy at all and very boring to study however they are *the most important* skills in investing and trading that person in the business need to have an understanding of and to have *mastered*.

If you *cannot* fully grasp and understand the implications of money management as well as how to actually implement money management principles and techniques, you have a *very limited* chance of becoming a consistently profitable trader. Until you *completely understand* and *are comfortable with* how to have, and how to follow a money management plan I encourage you to *stay out* of the live market.

Not learning proper trade and money management – Not using stop losses and cutting losses early. You hear that a million times in your investing and trading career. Why is it then, that almost every brand new investor and trader lacks this skill? They have not taken the time to learn this very important skill from the start and it almost always causes them some account pain in the beginning.

The main reason why the professionals are so successful is because they stick to their plan no matter if they are losing money or making a lot of money. They *do not ever* deviate from their plan because they know that over a long period of time they will be consistently profitable from having done so.

These people have developed an *edge* over the sheeple of the herd and exploit them with their edge to make money from them every day. They know what mistakes the sheeple of the herd make over and over again on a daily basis and so does the smart money.

The successful investor or trader then just watches for the smart money to make their move on the sheeple of the herd and then just capitalize right along with them on their power and volume. They know that the herd does not trade with a plan and can see their errors because of it.

There is no letting a position that is in profit come back to turn into a loser due to having the stop loss already in the live market. I have entered the position *already knowing* what my stop loss amount is money wise so there is no question as to how much I will lose should the position not work out as planned. Once the profit target is hit the position automatically closes and then it is time to look for the next opportunity.

Profitable investors and traders know they can make consistent profits *over time* and do not look to make all their money on one or two big positions. They realize and accept they will have a higher probability of having a positive outcome over *many successful outcomes* in the market versus just a few. They only are looking for the lowest risk highest reward positions and will just **wait** until the opportunity arises. When the opportunity *does* come they are decisive and take *immediate* action. Once the action has completed they look for the next one.

Being decisive to smooth your equity curve and managing risk effectively are the skills which should be focused on learning first *versus* last and unfortunately most

losing retail investors and traders don't realize this ***until it is too late***. This is what makes consistently profitable investors and traders different than unprofitable investors and traders.

Having a set plan and also having it automated so your profit target and stop loss are deployed when your position is executed in the live market is another way to avoid making money mistakes. As I said before, the only thing you have control of once you are in the live market is how much money you *don't lose*. By doing it this way and having it automated you can take out some of the stress involved when your real money is working in the live market.

A money management plan for the type of trading you are doing should be tailored to what *your* risk appetite is *not* anyone else's. Trading is a very personal business and what works for one trader will *not* work for another. Another way to make your money management plan your own is to compose it to what market you are working and also what time frame you are working in that market.

Your plan should take into account the volatility of the market, time of day you are trading, how many lots or contracts you are trading with. Most successful traders in the market have this information incorporated into their plan and that is what makes them so successful.

The first and foremost thing about money management is to have a plan and then actually use it. To many times traders will compose a money management plan, go in the live market, get into some trouble on a position and the plan goes *out the window*. Unfortunately so does *large amounts* of their risk capital most of the time.

I tell brand new traders what they will find that works for them the best is the *most simple* money management strategy that they can come up with. They will not know for sure how successful it will be, however that is better than to not have anything in place and doing nothing. The only people I know who make money every day in the markets are the people who have great money management skills, and are well capitalized for the type investing and trading they do. To do it any other way invites financial disaster and risk of ruin. Don't be that trader!

Once you have studied risk management and then apply it to how you want to invest and trade you can begin to have some success *as long as* you stick to your money management plan and ***never*** deviate from it. This is where most retail

traders get themselves into trouble and cause themselves to lose money. They will set a stop loss and then when price action approaches the stop they will adjust it or take it out altogether. **BAD IDEA!** Once your stop loss is in the market you should *never move it*.

Risk in investing and trading is *unavoidable* however with the proper training and a good sound plan can be diminished when the plan is followed. Risk is also diminished over time when the investor and trader gains more knowledge as to how much appetite for risk they really have. Without this knowledge the investor or trade cannot gain an understanding or get the experience and competence to make consistent profits.

When you make the decision to go live with real money, that's when it gets serious and very real for you. You are now in competition with the big boys, who have billions of dollars to play with and have the best super computer technology in the world and code slinging geeks to tell the computer what to see and what trades to execute.

You absolutely need to have a competitive edge in the markets, and you must have it *before* you do anything in the live markets with real money. I will have some other books out that detail how to develop your edge for making money in today's live markets, I encourage you to read them all as soon as they come out if you are in this business to make money. If you run with the 'sheeple of the herd' you can be assured to *not have any edge* so don't, they all study the same information and are all programmed the same way to lose money repeatedly.

To be consistently profitable over the long term one must consider capital preservation their number one rule. *To be successful in this business it cannot be any other way.* It takes money to make money in the financial markets and once your money is gone it is gone. This is why I tell clients they *must* study risk and money management *first* and *foremost*.

The moment your deploy capital in the live market you go from being an investor or day trader to a risk and money manager. You have *already* determined the probabilities of having a positive outcome on a position before you took it. Now all there is to do is sit back and let the market pay you by managing your risk on the position. Once you have your money management plan and rules in place it is critical that you be disciplined to follow the plan and all the rules at all costs. It is best to have them written out in a word document or a spread sheet and kept

right by you at your work station at all times for reference if you need to.

All professional investors and traders I know will say the same thing if asked what is the number one thing they consider to be important in their business that is *capital preservation*. If you lose all your money in the market you can't *be* in the market.

You don't need to be "*in there*" all the time. I only deploy my capital in the live market when I am 100% sure of what I want to do *before* I do it. I only have to win around 40% of the time to make a nice return from the live market. I am only looking for the lowest risk, highest reward, and highest probability opportunities. I swing and position trade so I do not have to take action that often however when I do everything is I do is *predetermined* by my plan criteria.

A trick I have traders I help out use is to set their demo account balance to whatever amount they think they will be going to capitalize their real money account with, this way they will know *right off* if they can work in the live market with that amount of capital or not.

I did not choose to do that and the first time I went in the live futures market and as I said, I promptly lost two thousand dollars. I got back out and studied more. I went back in the live market again and lost *another* two thousand dollars. Now I am down a total of four thousand dollars real money and scratching my head going dude WTF.

The reason I had lost money is because I did not have any money management skills developed. What I just said I lost is the perfect example of that. The live market *is not* the place to be if you have not done your proper education. There are sharks with fully loaded revolvers in the market waiting for you.

I tell new people that what they are going to find is that what is going to work for them in the long run in their own business and makes money for them is a combination of things they have learned from others and on their own. They put it all together and all of the sudden they have something going and an edge that is making them money on a consistent basis. The only thing that matters in the live market is what works for *you* and makes *you* money. *Once you have found your edge never ever share it!*

Risk management should be very important to you as a trader if you want to be

consistently profitable. You always need to be thinking in terms of capital preservation and not worried as much about capital appreciation. If your plan is solid, the money will come on its own if you are following your rule based plan. Your job as a trader is not to make money your job is to *manage* the money you *already have* so you can make more. You can't sit at the table if you don't have any checks as they say in Vegas.

Even if you were careless and lost only 50% of your capital you would still need to make 100% to get all your money back. It is possible to do this albeit very hard, and *not likely*, especially for the retail sheep of the herd. Once they begin to lose money they will start to jump around to different asset classes and systems, this only compounds their problems.

All the trading books (including mine), say that you should not ever risk more than 1 – 2% of available trading capital on any given day trade. On Swing trades, this number may be 3 – 5% of their trading capital. You will have a maximum dollar amount you can lose on any trading day, and ***you will cease trading immediately when that number is hit***. What this number is to you depends on your account size. *You should never trade more than you are willing to lose*. The larger your account is *the less* you should be using as risk. On some of my accounts I use .025%.

If you set your daily goal at \$600 dollars and are risking \$200 on a trade and are stopped out 3 times then ***you are done*** for that trading day. Turn your charts off and go have a good day. The market will be there waiting for you the next time.

Trading and thinking like a consistently profitable trader will allow your trading to improve enormously and the profits will come much easier as you learn to control your risk and let the profits take care of themselves. Always using a SL that's within your comfort level as far as risk goes. You get paid to take risk. So take risk! But also be a money manager. Everyone I know in this business has the goal of having their SL *as close to their entry* as possible thus having the lowest amount of risk possible. Experienced traders control risk, inexperienced traders just chase money. ***You will not have a 100 % success rate***... if you win 51 % and lose 49 % you just need to make a nice living out of the 2 % difference.

The capital one starts their business with should be capital that is *disposable*. Meaning that if all the capital happened to be lost to the markets the investor or trader would not be hurt by the loss *in any way*. I have clients I mentor do that

visualization I was talking about earlier in this book. I have them think about throwing their starting capital into their barbeque and turning it on and watching their money burning up in flames and smoke.

It sounds harsh I know, however *the reality of it is* that when a new investor or trader who has entered the business is not using a rules based plan, has not done the proper education and training and learned what they need to know to take only high probability positions that will give the highest reward and have the lowest risk the outcome is virtually almost always the same. Flames and smoke!

Once you have your money management plan and rules in place it is *critical* that you be disciplined, follow the plan and all the rules at all costs. It is best to have them written out in a word document or a spread sheet and kept right by you at your work station at all times for reference.

Having a set plan and also having your profit target and stop loss be deployed when your position is executed in the live market is another way to avoid making mistakes. As I said before the only thing you have control of once you are in the live market is how much money you *don't lose*. By doing it this way you can take out some of the stress involved when your real money is working in the live market.

There is also plenty of information on risk management and money management online. I would tell you to figure out *what type* of trader you want to be and to figure out what your money goals are first and then tailor your money management plan to the goals you set for yourself. Learn the *right* information the *right way* from the *first day* and you should have *no problems*.

Protecting their capital is what professional trader's do most however they also take great steps to protect the amount of unrealized profit that becomes part of the total equity of his account. To the experienced professional protecting profits is just as important as protecting themselves and limiting losses.

Manage your risk capital with a good risk management profile, and you will be in the markets for as long as you want to be in them. ***Any other scenario is not acceptable.*** You can do a search for the following to get more information: Trading risk management, money management in day trading, risk of ruin.

If you haven't mastered money management I strongly encourage you to *stay out*

of the live markets until you do. To really succeed at trading the financial markets, you need to not only *thoroughly* understand risk reward, position sizing, and risk amount per trade, you also need to consistently execute each of these aspects of money management in combination with a highly effective yet simple to understand trading strategy like price action and supply and demand principles. You can do all the scans you want however until you master money management those scans *won't help you*.

The best principle in risk management can be stated in three words. ***“Use a stop”***! No one, *especially* a brand new trader or investor can be prepared enough for the *volatility* and *brutality* of the live market. It is fine to practice on a demo account to learn your software platform for entries and exits however it is completely another thing to be able to do it in a live market environment with the best market participants in the world who are trying to take your money. *Keep it simple, be prepared, have a plan and watch your money and you can't go wrong.*

<<<>>><<<>>>

Rules are rules and you better follow yours trading crude oil or you'll get eaten by sharks

In live market trading *especially in crude oil trading and investing* it helps to keep the decision making process as consistent and objective as possible. Using a rules based plan for your trading is a *must* and is a trait all successful investors and traders I know possess. A winning plan should be able to sustain your profitability over time in order that you can *keep* all your hard earned profits you make from the markets. Your simple rule based strategy should *only* have you buying at price levels where demand (wholesale prices) exceeds supply and selling at price levels where supply (retail prices) exceeds demand.

The reality of it is that too many undisciplined new crude oil traders don't spend enough time composing a rules based plan for the type of trading they wish to do. I have my clients think about what their monetary goals are and then help them compose a great trading plan, becoming a great trader, and attaining their goals.

There is *no room for excuses* in the professional traders mind and thus they know that they are the final decision maker on what is being done or *NOT* done. They are in complete control of all aspects of their trading plan. They have mastered keeping their emotions fully controlled and are aware they are in control of the destiny of there long term investment strategy and management of their portfolio. This is one of the things that make them so successful and it is *all done by following their rule based plan*.

Let me paint a couple of different pictures for you *right up front* so you can get a picture of what it will be like going in the live markets *without* a rule based plan and unprepared or even underprepared in *your* mind. This will give you an idea of what can happen by not having or using a rule based plan in your trading and investing business.

Think of yourself on a nice vacation down in beautiful Australia and you are out sport fishing somewhere around the Great Barrier Reef.

Now you are preparing to set your line but need to get your chum (bait) out first and as you are working on the chum you accidentally cut a very deep gash into your leg around your Femoral artery, *and* just at *the* moment you do *that* a rogue wave hits the boat and knocks you *and* the chum bucket overboard and into the water. Now you are the water bleeding profusely *with the chum* and the 21 foot great

white sharks that frequent the area you are fishing in. It is said that great white sharks can smell blood in the water for 1000 nautical miles and be in the area in a nanosecond. You can finish this one however *you* like but the sharks win.

The second one is real easy. Imagine you have some huge cajones and you decide you are going play Russian roulette with a loaded revolver that's *fully* loaded. As the song says "click click BOOM"! Only *you* are the one who is going to get FUBAR. That's what you'll be doing by going in the live market unprepared and without a plan. You can kid yourself all you want and say "it will never happen to me" however trust me *it will*.

While these examples may seem harsh to you if you are brand new and have zero experience and are looking for information to get you started in the trading and investing business just remember them when you are screwing around on demo doing all the kooky stuff you *will* do. Demo is where you can do all that crazy stuff you will try, like trading 20 cars on crude oil or gold with no plan. Get it *allll* out of your system in demo though because the sharks are waiting for you in the live market. The sharks just *might* hand you a loaded revolver so be prepared.

I tell *all* new people I help out that what you will find is that over the course of your learning curve and time in the live markets that you will ultimately find that what is going to work for you and make you money every day or month is a combination of things you have learned over time and have put together to make *your own* winning rule based plan. What works for one trader *will not* work the same way for another however that does not mean you cannot adapt different ideas to fit your own trading style.

Developing a trading plan takes a lot of hard work sometimes as much if not more than actually learning how to trade and operate your platform. It takes time to see what works for you and what does not. It also takes a lot of time to develop the rules that go along with your trading plan. Having a plan and some rules are critical in this business. To not have them and stick to them is a recipe for financial disaster and account ruin.

It doesn't matter how many or how few rules you have in your plan. Most investors and traders I know who are consistently profitable on a daily basis have a simple plan that is perhaps one page or less. It is one thing to have a plan it is however the most important thing to do is to *follow the plan at all costs*. I always say if you are a known rule breaker then just don't too many however you must

have *some*.

One exercise I like my clients to do to get them in the habit of following their plan is to pretend they are an airline pilot and they have to follow a checklist at all times and never break any procedural rules or all lives could be lost. Airline pilots by the way are some of the best investors and traders out there in the business today. They are used to doing what I just described and will not deviate for any reason.

Take the last paragraph and just imagine that your account balance is the lives and if you do not follow your plan *all* of your money could be lost. Make no mistake you can perhaps lose *all* of your money by not having and following a plan.

Successful investors and traders know that that having a simple plan is the only way to have a profitable significant *edge* in the live markets. A plan does not have to be complicated to be successful and these consistently profitable investors and traders have come to realize this and actually use the simplest methods in investing and trading which as I said, is supply and demand.

One of the things that traders do is they get monitoring their positions confused with trade management. If you have followed your rules based plan and determined your entry and exit as well as your stop loss and profit target there should be nothing to do really.

What I mean by monitoring your position is to make sure your automated strategy if you are using one is doing what it is supposed to be doing. This is critical as even the best automated strategy can have a discombobulation at some point.

I only recommend using an automated system if you are using it for putting on and taking off positions as well as executing a stop loss and profit target at the same time as the position is being executed in the live market. Then it is truly hands off. All you need to do at that point is to ***keep your hands off*** the mouse and let the market do all the heavy lifting for you. *Can you do that?*

Until you can monitor your live market positions without actually doing *anything* I strongly recommend that you *stay out* of the real live market with your hard earned real money. Just because you are monitoring what is going on *does not*

mean you have to take any action!

The sooner you can get your head around that last statement *the more money* you will be able to make. That's is what you are in this business for so have some control and do what needs to be done to become successful. Be disciplined and don't make the mistakes this book details. Do not become one of the sheeple of the herd and do what everyone else does and study what everyone else studies.

Your job now as a professional investor and trader is to manage your money and control risk at *all* costs. You are basing all of the decisions you make on your developed logic not with emotions. You are confident that you would much rather pursue a low risk entry or have only a small loss if it should happen. It is only low risk, high reward and high probability outcomes that you are looking for now, just like the Wall Street banks and the smart money.

I recommend that if you are not able to give investing and trading your full-time attention, you should have your money managed by someone qualified *who does it for a living*. Learn as much as you can about the trading business, and then when you are ready, you can make the transition to doing it as a full-time business for yourself. You can certainly do the learning and education phase of this business part time however you *absolutely should not do* the trading part of it part time.

Learn to think independently and make *unlimited* money for yourself for the rest of your life!

<<<>>><<<>>>

The markets *only* work on supply and demand – shouldn't *that* be you're trading method then?

There will not be anything in this section I will talk about other than supply and demand, and you will find out how to learn how to use these principles in the live markets to make some real money every day. I do not listen to news, I do not use *any* indicators, and there is no fancy system or method you have to learn. It's simple price action, supply and demand, along with training your eyes to see where unfilled smart money orders reside at in the live market. That's it!

Use price action with supply and demand to have a lethal double whammy edge over the sheeple of the herd who have all studied the wrong information from the start on day one, and have been taught unrealistic information that will not help them in any way in the live market. Use price action with supply and demand with sound money management and a detailed trading plan for whatever instruments you desire to work in and there should be no reason you cannot make *some* money every day in the live market once you have studied and prepared yourself properly.

My hope from this part of this book is that you understand how important it is to have a competitive edge when putting your hard earned money at risk in the markets. Each day, the wealth from trader accounts is transferred from those without an edge into the accounts of those who have developed that all needed important winning edge.

The key to success when trading the live markets with supply and demand comes down to a few things: What is the object of supply and demand trading? To gain the ability to objectively quantify bank and institution demand and supply on a price chart, knowing what a supply and demand imbalance looks like and how to take advantage of that opportunity with objective and mechanical rules. Seems simple right?

To be a successful market speculator and investor you must be equipped with the proper tools and information from the start of your trading and investing business. Price action and the use of supply and demand principles to make trading and investment decisions *are* those tools. You don't need to care where the price is going to be ten years from *now*; you need to know about where price is right now.

You don't need any of the latest fad trading systems that the gurus are touting. All you need are the time tested principles of supply and demand. Combine that with the price action of your chosen instrument and you have all the edge you need over the sheeple of the herd.

I purposely do not include any charts, tables, or formulas in this book. No mathematical equations to memorize. I'll tell you why. This book is not about learning any particular method or system. It is about learning how to get the right start on your new business the right way the first time. It is about getting the right information from day one. It is my intent for you the reader to be able to do just that. *READ.*

I would like for you to be able to actually absorb what you are reading as this information will be some of the *most important information you read in your life* when it comes to what you need to know to be successful in the live markets with your hard earned real money. I want nothing but the best outcome for you so I owe it to you to give you best information I can. The other reason I don't put any charts in my books is because they don't look good at this trim size (size of the book).

OK traders the next place you need to go and the next thing you need to start to grasp is basics and foundation then application of these supply and demand principles in the live markets. You can do a search online for a supply and demand foundation and application course. I encourage you to watch every video and read every article and book you can on this style of investing and trading you can get your hands on.

Here is a good start for you brand new investors and traders looking to understand supply and demand dynamics and use it to invest and trade in the live markets of today. It is economics 101 pretty much. You should learn it though if you want to know and understand what really makes price do what it does in the live market because it is this and nothing else.

So that I do not sound redundant in my explanations after we move on from this point I will direct you to go here:

<http://www.investopedia.com/university/economics/economics3.asp> for an explanation of the dynamics of supply and demand which will from this point be the only thing mentioned as far as a way of investing and trading is concerned in

the live market.

Supply and demand is not rocket science and no one owns it, or has a patent on it and *anyone* can learn it. It is a simple market principle that has been in existence since there was a market. It will always be the same principle till there is no more market which will be the end of days.

You do not have to be a math wizard to get it and you do not have to memorize any formulas or math equations. It is just a simple yet powerful principle that when armed with its knowledge and the knowledge of the price action of your chosen instrument of choice you can have a serious winning edge which will give you the highest probability of having a positive outcome on being a market participant.

It all builds off of this basic principle of supply and demand right here so I encourage you to take your time and absorb it a little at a time. You will see that supply and demand investing and trading works on all asset classes on any time frame, it is a robust and repeatable process in *any* market. It does not matter if you are trading equities, Forex futures, grains or *kittens* and *puppies* for that matter. You just have to pick what TF (time frame) you like and what market(s) you want to invest in or trade and what your comfort level of risk is in those markets, it is fairly simple once you have it down pat.

Everything you see on the chart to the left has already taken place hence why all indicators except price action are lagging and of no use to a professional trader. The *ONLY* thing that matters is where those unfilled orders are resting in the market because *THAT* is where PA goes to and takes off from. The only *other* thing that matters is how much time price spent there at that price level. Learn how to read PA in this manner and you will have a high probability of making money every single day. Combine that with supply and demand dynamics and it will be all you ever have to know to make money in the live markets the rest of your natural life.

You do not need to over think *anything* in supply and demand (S&D) trading. It is very simple, the simplest in fact. I had to unlearn 95% of what I had already studied before I became consistently profitable on a daily basis in the markets. My goal is to save you brand new traders and investors who are new and wanting to learn trading a lot of time and cut down your learning curve so you can be on your way to making real money in the live markets every day. How fast you "*get it*" is up to you.

Supply and demand value areas on a price chart represent *ALL* buyers and sellers in the world who are in the live market you are looking at that time and thus it is very easy to quantify were the unfilled orders reside in the live market. As I have stated all you need to do is train your eyes to spot these value areas on the price chart you are analyzing and then make a decision whether you would like to become a market participant as well.

Mostly all of the professional traders I associate with have in the very high thousands of hours of screen time to get good at seeing and opening positions from supply and demand value areas on charts. Hopefully you will get good at it as well and become well off by doing so. The amount of screen time needed to be able to go in the live market and make real money is said to be 10,000 or more hours. Hopefully this book will help get you started and *cut down* that amount of learning curve time.

It is your job to practice to get good at recognizing the value areas. You will need to do it over and over and over again until it becomes second nature for you to spot, quantify and execute a position from these value areas *without hesitation*. As soon as you have learned and have the experience you can open positions from them in the live real markets with real money with confidence and *zero fear*.

What you are looking for is the way PA leaves the certain area which is said to be a supply or demand value area. This value area is also sometimes called a base or PA can be said to be basing. This is that sideways price action I was talking about earlier.

This huge move is normally seen as a large expanded range candle (ERC) or a bunch of them. Does not matter what color you make your candles and I suggest you just have them the same color as the color of the candles will make no difference as to what data the candle is telling you. All that matters is that you understand and become an expert at what to see, quantify it and where it is happening. When PA comes back and revisits this value area again in the future is when you want to be there waiting with your resting order in the live market.

Remember this: first come first served. Which means if your order is already there resting in the live market in the queue you have a high probability of being filled right away verses adding your order and having to wait in line with all the other orders just going in.

The way PA leaves the supply and demand value areas is also the way it tends to return to it. Meaning PA can blast back into the area with a nice big ERC or if it left the value area slowly it can meander its way back. Another way PA can leave a value area is by gapping up or down. What PA is coming back to this value area for is to fill more of the unfilled orders which were left there when price became out of balance the first time it was at this area.

To identify a demand/supply value area: 1. Look at current PA on the chart, 2. Look down and left *OR* up and left to locate a very strong rally in current PA. Huge candle body's work best or a gap away from it and be an indication of how strong PA is in that value area. Look for the origin of the move, what was the last price the banks were willing to sell at? Is value area fresh? Was there a strong move from this area previously? Draw line on top of basing candle and the lower line on the lowest low of the wicks. The move away from this value area to the furthest point away is the initial profit margin for the next trade op. Move should be 2-3 times the size of the value area for the most profitable trade op. Watch for how far PA penetrates into the value area on the first retracement to the value area. If PA does not quite reach the value area there may be more unfilled orders left at the value area and PA could come back here to fill more orders.

Once PA trades thru a value area and bases (4-6 candles) it becomes a new demand/supply value area. 1st retrace back to this value area is the *highest probability* of a trade working out. 2nd or 3rd retest, and the probability of the trade working out decreases each time PA retests that value area.

Watch for PA to turn on a lower time frame chart at a higher time frame S&D value area, this is the *only* place that a turn in current PA is likely to take place. When trend is changing look at the higher time frame to see *where* the previous value area was and PA should turn there on the lower TF chart. Can also watch for divergence on the indicator *if using one*, it will appear at supply or at demand.

When PA gets to a level that has been touched previously look for an reversal candle such as an engulfing, doji, shooting star with tall wick to the high/low side. Some unfilled orders were perhaps left there and PA could turn again. After 3 touches watch for PA to trade thru the level and move higher/lower to the next value area. When PA is in a range, oscillators could perhaps be used to go between S&D value areas.

Mistakes traders make in spotting levels: 1. Not quantifying where PA is in regards to the bigger picture TF, 2. Not choosing fresh value areas, 3. Not making sure there is a profit margin to the next opposing value area.

What matters most is that we see where the smart money is deploying their assets and what best pricing they are looking for. We want to get it at what price they get it for. Believe your eyes and not your brains. It's the smart money's ginormous footprints that they leave all over our charts that really matter. It is their tracks in the market that you are looking for on your price chart in the price action of your chosen instrument. They are easy to spot once you know what you are looking for.

Once you are armed with this knowledge it does not matter what you are investing in or trading. These signals I am telling you to see are the only thing that moves price action on a chart. Any chart. Even kittens and puppies if you trade them! If you keep it simple from the start of your learning and education those skills will follow you into the live markets and be beneficial to you in making real money every day.

That's the beauty of it this method. It works on *all* liquid markets and on *any* time frame you choose to look at it on. I encourage you to work on daily charts because that is what the smart money uses. Once you can see the value areas on the daily chart you can see them on any time frame. That's what makes this method so lethal. It's the combination of price action and supply and demand value areas. *That is what wins in today's markets.*

Learn to see unfilled orders on a price chart and the PA of your preferred instrument to trade and you are home. No fancy news, no indicators, just PA and what makes the market do what it does, supply and demand. It's *THE* only thing that makes the market move.

Simple really, however traders tend to make things hard on themselves and cause a lot account pain because of it. Don't be *that* investor or trader. People just think this is a get rich quick business. It's precisely the opposite unless you are a bank or hedge fund and you are using leverage and OPM (other people's money) or a combination of both.

In S&D it's all about setting your position order and then just *waiting* and letting

PA come to you. It's just a waiting game at that point. If you get filled there then you are in the market with everything already there. *IF* you do not get filled then you just cancel the order and reassess PA and look for the next signal and opportunity.

The thing about supply and demand style trading is that you either have to be there when PA reaches where you need it to be *OR* have a resting limit order in the market for when it does. That is going to take some getting used to. The whole position order needs to go in at the same time on a trade like that. Stop loss and profit target need to go in with the trade *especially the stop loss*.

If you know how to build out the chart properly you should in fact have an idea where and when PA will get to where you need it be to capitalize on it. You can make big money with the smart money notwithstanding HFT's, Algo or AMM. You can't fight that in any way nor should you even try to. Hopefully you are on the right side of it and PA can sail right to your PT on the smart money's volume.

If you are still having trouble seeing the value areas I encourage you to go back and analyze why? Ask yourself these questions. Have you looked back far enough left? Are you using multiple time frames (MTF) to do analysis? Does it help you to understand how to look for and evaluate PA on higher time frame (HTF) charts and how get the curve as well? Look in your journal and analyze what you have done previously that worked and did not. Then just do what *did* work for you over and over and over again!

It is critical that you train your eyes to recognize these areas to acquire your positions from. This is where price is in balance for the moment. The way PA leaves this value area is a key piece of data for you to use in your analysis of any position you may be thinking of taking in the live market with real money. PA will normally leave a value area when it is out of balance with a huge move in PA.

What criteria do you look for when identifying a supply and demand value area? You're probably asking what makes a supply and demand value area *better* or *worse* than another S&D value area and what criteria is used to determine those issues.? The most important two are how long has time spent at that level and is that level original? How do you define a supply or demand level *before* the fact? Before it is tested or broken through? Look left *as far as you need to* too find out if price has been to that area before. This is the difference between telling if it is a retest of a previous supply/demand level or making a pivot and a

support/resistance level.

When does an S&D value area become invalid? An excellent explanation of when a supply or demand level becomes invalid is once PA breaks through and closes above or below the tested level, it is invalid. This is because all orders that were left at that level have been absorbed, thus the candle can close above the value area.

What happens, when a value area is NOT original and PA has been back to it one or more times? Chances are PA will trade through the value area because all of the previous orders that resided there have been filled and/or absorbed. When PA goes to a value area and bounces off 1 or more time orders are being filled and depleted and thus used up so when PA returns back there again it can slice right through the value area and move up/down to the next area of orders.

When PA turns at a value area there will be few candles and low volume, NOT many candles and high volume. Most traders are taught to look for a volume spike and/or many candles and retests of an area for confirmation. By the time they have their confirmation PA has *ALREADY* turned and is moving away and taking the probability of success of a positive outcome on a trade with it, and is also *increasing* the risk.

For me it is all about the value areas. As long I see them right, I make money every day as long as I don't stay long too long. LOL I still draw S&R lines and use TL as well however the trade decisions are based around what PA does at those S&D value areas and if the criteria of the set up meet my rules for entry. If you are more visual then by all means draw some TL or use whatever you like, *do whatever it takes*.

That is how I make money in the live markets every day. I just look for where the smart money have their resting orders and then wait for the retail sheeple of the herd to make their mistakes and buy or sell to or from them and then follow the smart money to where they are going to next. You don't need an MBA degree from a big fancy Ivy League college for that! Combine price action with supply and demand investing and trading and you have an edge over the retail sheeple of the herd.

My hope from this part of this book is that you understand how important it is to have a competitive edge when putting your hard earned money at risk in the

markets. Each day, the wealth from trader accounts is transferred from those without an edge into the accounts of those who have developed that all needed important winning edge. *Which one do you want to be?*

The key to success when trading with an edge in the live markets with supply and demand comes down to a few things: What is the object of supply and demand trading? To gain the ability to objectively quantify bank and institution demand and supply on a price chart, knowing what a supply and demand imbalance looks like and how to take advantage of that opportunity with objective and mechanical rules. Seems simple right?

I recommend learning a method of investing and trading that can be used over *all* asset classes and on *any* time frame. The only method I found that does this and works in the live market, because that is what the live markets work on, is supply and demand. I combined that with the price action of the instruments I work in, and it has become a lethal money making combination and what *my* method is based to give me my own winning edge. *Are you ready to get yours?*

<<<>>><<<>>>

Price and time are all that matter to professional crude oil traders

Ask a room full of retail investors and traders what methods they use, and everyone's answer will most likely be different. Ask a professional investor or trader what they use, and they will say supply and demand. Professionals only care about two things, price and time. How much time did price spend at a certain value area, and what is the next value area it is going to move to?

Using your charts to know where price turns are going to happen is a function of price and time, and also supply and demand. Study supply and demand trading, and you will have the information you need to make critical decisions required to make money in the live markets with the smart money. They already know this valuable information because they are the ones who control the markets and move it from one value area to another.

Price and time are the only things smart money care about in the live market. How much time a given price spends at any value area before it fluctuates again is a function of the smart money's buying and selling at that price level. All the smart money cares about is controlling their risk in the market and so should you! They are only looking for a low risk, high reward entry where their risk is controlled by how close their stop is to their entry. This is easy to state however very hard to execute in the live market for a retail investor and trader. Smart money is only looking for the highest probability outcome in the market, and again so should you!

When price is at a demand value area and the sellers there sell their last order, the market must rise at that point. The same goes for a supply value area. When the last buyer has bought and there are no more orders left, the price becomes imbalanced and must fall. Hence, for every buyer there has to be a seller and for every seller there has to be a buyer.

Learning to see this imbalance on a price chart is critical for the retail trader if they want to be consistently profitable and make money with the smart money every day. How do you see it? It is not difficult once you know *what* you are looking for and *where* to look for it. In any up move, price action is going to stop and turn at a previous area of supply and the same is true for a turn at a demand value area. Price *only* turns at these areas.

What does this value area look like? It is always an area of sideways price action with little volume and small candle bodies, meaning there is not much price action

within that candle. It is normally between 3-8 candles that have moved sideways for a while indicating that price is in imbalance at that area and everyone is buying and/or selling at will. It is when price becomes imbalanced at these value areas we want to be alert. This is where the smart money is doing their work and also where the 'sheeple of the herd' retail investors and traders are making their biggest mistakes.

If you know that price cannot stay at a value area that is out of balance, then wouldn't you want to train yourself to see where this is taking place on a price chart? *Why* would you initiate a position in an area where you *KNOW* price is out of balance? Well if you are taking action when the smart money is also doing so then you can get paid right along with them. This is all thanks to the uninformed person who is making the same mistake again, which is buying in an area where supply outweighs demand or demand outweighs supply.

It is all about identifying a big move, either up or down, and then looking to the left to see where it came from and how much time the price spent at that value area before it shifted and is part of one of the scans I do. This is the first thing I do in the morning when I turn on my charts as part of my morning routine. I look at current price, look at the overnight price action, and see where price was in balance in the overnight session. I then just follow the current price action backwards to see the whole move.

If you think clearly about what *you* are doing you will see that you are making the same mistakes as everyone else and potentially losing money. If you correct this action, you can then become part of the 3% of professionals who are consistently profitable and making money every day if you are an intraday trader.

There are some other factors that also influence price such as news, economic events, analyst upgrades or downgrades, and geo-political events which are streaming at the retail investor and trader at a dizzying rate daily. The professional takes a step back and ignores 99% of this data and looks for what is happening on the chart in front of them. They look at what is currently happening, *NOT* what they think is *GOING* to happen.

All these events can certainly have an impact on price action, however if you are trained to know where the supply and demand value areas are on a price chart, then you can be there waiting with the smart money and have your orders resting in the market. These events just expedite the movement of price to the areas of

supply and demand more rapidly. Sometimes very rapidly!

If you are there with your order you can take advantage of this movement and make money from it. I recommend that you have a stop-loss order and a profit-target-exit order attached to your entry order when it is in the live market waiting for price action to come and fill it. I suggest you automate as much of your trading plan as possible and let the market do all of the dirty work for you.

All you have to do when your order is executed is sit back and wait to get paid. Very simple and it doesn't really get any easier than that! To be successful you must be able to filter what is *real* and what is *not*. That takes a while to learn, however it is do able. You just have to want to do it. Just ask yourself this one question: do I want to continue to lose money? Your answer should be a no brainer! Smart money shows you the money – can you find it? Open your eyes and smell the crude oil money.

<<<>>><<<>>>

No fancy indicators need to make money in crude oil trading – here's why

Do you want to make money? It's why you bought this book *right*? The good news is you don't need any fancy colorful indicators junking up you're charts to do it. You **do** want to make money *right*, well then let's get to it then shall we?

Indicators you say? What you add to a raw price chart can *strongly* influence your trading decision. I've seen people waste *many* hours looking for the *be all* and *end all* indicator. There isn't one **SO STOP** looking!! Indicators are just tools. They are fine if used properly and in the context they should be used in, as an aide, nothing more and certainly *NOT* for trade decisions!! Please don't let the use of lagging indicators become your reality you will surely be sorry, hence the reason I wrote this book so that you could learn the right way the first time not waste time on learning and education that will only help you lose money. Why do that to yourself? That's right; *no one will do it to you but you*.

There is only one principle that causes a market—any market—to move price and that is supply and demand. Supply, demand and price action of what I am looking at are the only principles I use in my investing and trading. You do not need any fancy lagging indicators to see supply and demand on a price chart. The *sooner* you learn that, the better you will trade and the more money you will make.

All the information is given to you by the smart money players, they leave huge clues that are left for you to sort out, all you need to do is learn to see their huge clues in the market and be able to spot them in real time on a price chart. You *can* and *will* most likely make money every day. This is what you need to educate yourself to do. All the rest is BS (including indicators) and won't help you at all in the live market situation. I always love saying, "I don't care *why* they're doing it I only care *when* and *where* they are doing it from!"

There are *many other factors* that can influence the markets such as reaction to news and political events around the world. Movement of price action always starts off from and gravitates toward value areas of supply and demand. Price action is always attracted to unfilled orders of the smart money, which reside in the live market.

Reaction to news and events just propels price action to these supply and demand value areas more quickly, sometimes *much more* quickly. You certainly *don't need* any fancy colorful indicators to show you that. Price action on the chart

shows you what is happening in real time and real time information is what you need to make your critical decisions with not data that is lagging.

What was it Gordon Gekko said? “The most important commodity I know of is information” I also say that even more important than that is knowing how and where to find that information. I love to learn and it was a lot of fun for me however I will say that 95% of what I learned does not help in any way in the way that I trade and invest today. I hope to be able to help you to not waste any valuable education time so that you can be on your way to making real money every day faster than I did. It is one of the main reasons I wrote this book.

Most books and seminars are overloaded with conventional trading analysis which tends to teach you how to buy when *everyone* else buys and sell when *everyone* else sells (sheeple of the herd mentality), which is high risk, low reward, and low probability and will *absolutely cause you to lose money* if you follow these types of teachings. All most everything that is being taught, in these courses and seminars, is usually *completely unrealistic* to do in a live market environment with real money.

Brand new traders are buying *after* price has rallied and also offers buy and sell signals based on indicators and oscillators that always lag price, which means high risk buying and selling. This is how it is mostly taught to brand new investors and traders from the very beginning and only causes them to lose money when they go in the live market and try these things they have been told are the right thing to do and the right way to trade.

There a lot of unscrupulous junkware selling locusts out there waiting to prey on unsuspecting new investors and traders coming into the business, trying to sell you any fancy colorful indicators that go “ding” to tell you when to enter the financial markets. You can use those at the peril of your capital account if you like although I strongly urge you not too.

It is critically important for you to have the important distinction between indicators (if you are going to use them) that may help you in choosing the right tool to use given the market environment you are trading in. While I am not an advocate of using indicators to trade with, some of them can be beneficial to a trader *if they are used properly* and only in certain situations to provide confluence of price action at a supply and demand value area.

Some technical indicators measure over bought and over sold conditions in a market and some indicate what the trend of a given market is at that time. You should *only* be using the indicators to see these conditions and *only be using them* as I said to give you confluence of price action as it is in the a supply and demand value area or approaching one.

Always remember that live price action is the *only* indicator that does not lag in the information it is providing for you. All the other fancy named indicators do nothing *but* lag in information as they are always late in printing what has actually already happened with price. Knowing *how* and *when* to use the right tool at the right time to support your trading decision(s) is critical. Learn the proper way to use your tools and you can make as much money in the live market as you desire.

It is most unfortunate that many investors and traders just beginning in this business use up a lot of time and energy *and sometimes a lot of hard earned money* learning and studying the *wrong* information from the start of their careers. I was no different. I studied everything I could get my hands on. I watched every video on every method I could. Ultimately though what I found out is that the way someone will invest and trade their real live money account is in no way the way they do things when they are *learning* how to trade and invest especially using a demo account.

While I was learning price chart reading I learned and used every freakin technical indicator there is available. Interestingly, I do not use *any indicators* at all any more in my investing and trading business now. The only true indicators of what the market is doing and going to do are price and time. Price and time are all I look at on my charts now. They tell me where the supply and demand value areas are on the chart. Those are the only places I take action at. I look for where the smart money is going to deploy their capital to move the markets and then just do *what* they do *where* they are doing it from. *That's the real way to make money in the live markets.*

What was it Jack Nicholson's character Colonial Nathan Jessup said in the movie A Few Good Men? "*You can't handle the truth*"! Do you want to invest and trade with *real* information or do you want to be lied too? The only thing in investing and trading that can't lie to you is price action on your trading chart. Smart money *cannot hide* what they are doing in the market and it shows up on the price chart you look at *every day* you just need to be able to spot *what* they are doing *where*

they are doing it.

There are no indicators needed, no fancy terms, and no math equations to know, just the principles of supply and demand. It is the *only thing* that moves price action in the live markets. It has been this way since there was a market and it will be this way until the market is no more which will be the end of days. The *sooner* you can get your head around that idea *the sooner* you can start making real money.

You must put in the time and get the proper education if you want drive your own money train daily. You must be able to react without hesitation or fear, and have the confidence in your skills to have a resting order in the market where the smart money has their money. You can also use a market order to enter, however you need to have supreme confidence in your skills to do this type of order. If you are using *any kind of lagging indicators* on your charts how can you make a trade decision in real time without fear? You don't have the right information, how could you?

Price and time are the only things smart money care about in the live market and all you need to see this is price action. How much time a given price spends at any value area before it fluctuates again is a function of the smart money's buying and selling at that price level. All the smart money cares about is controlling their risk in the market and so should you! They are *only* looking for a low risk, high reward entry where their risk is controlled by how close their stop is to their entry. Easy to state however it is very hard to execute in the live market for a retail investor and trader. Smart money is only looking for the highest probability outcome in the market; *they* do it without indicators so should *you*!

Simple, basic, and easy to understand, if I can give you one word of advice at this point in this book I will tell you to *keep it simple* because trading *really is* simple if you keep it that way. You *do not* need any indicators or fancy systems, methods or software that the so called gurus are all touting. The market *only* works on supply and demand and supply and demand is the *only thing* that as I said earlier moves price on a chart from one value area to another.

The 'sheeple of the herd' also listen to the talking heads on the news and the analysts who get paid to make certain predictions. The herd only over complicates things for themselves by adding all kinds of lagging indicators to their charts, which they have been told work well and have been instructed to use.

Real money investors and traders who are consistently profitable *do what the smart money does*. They trade with the 'sheeple of the herd.' Professional investors and traders know where the sheeple of the herd are making their errors in the live market because they can see them doing it on the price chart. If you study supply and demand trading you will be able to see them as well and make money from them every day because they make the same mistakes over and over.

Here is something to help you put this section in perspective. Wall Street banks and institutions *don't use indicators* to base their trading decisions on. They also only are in the business to make money and not lose it so they don't day trade. So if you can get your head around that and then start to *think* and *trade* like them and see where they are working at on the price chart there should be no reason you are not making *some* money on a daily basis. Smart money is *only looking* for the highest probability outcome in the market; they do it without indicators ***so should you!***

<<<>>><<<>>>

Trade crude oil like a Wall Street Profiteer – you must have a *kill everyone* mentality

Professional traders don't think like Main Street they think like Wall Street. If you want to become very successful in this business you must develop a Wall Street mentality when it comes to making money. There is just no other option. If you study what the Wall Street banks and the hedge fund people are doing and then emulate their performance you can make a nice living in the markets.

As I said earlier, there are people in the market who have the kill everyone mentality and they don't care who it is as long as they are making money. You must develop a cold and ruthless as well as decisive personality to work in the live market with the people who are looking to kill your account.

Should you decide to try going up against these type traders in the live market and be under funded or under prepared or *not prepared at all* they will carve up your account like it is a Thanksgiving turkey you can assured of that. It's nothing personal.

The live market is not a place for the weak minded or faint hearted. If you have any doubts about your skills or confidence take some advice and just *stay out* of the freakin live market until you have developed a *kill everyone* mentality because that is what you will need to make real money in there every day.

Professional traders don't let emotions cloud their judgment and rattle them. Despite the stress and pressure that come with their work, they can remain focused and execute their rule based plan without hesitation. They have mental and emotional toughness and execute with decisiveness every time they enter the live market.

It's this kind of motivation, mental toughness and highly competitive by nature as well as an inner driving force to overcome competition that fuels the best traders to go the extra mile to achieve their goals.

As I have said before, you have to be willing to have a "*kill everyone*" mentality to work in the live markets. Professional traders know that there are people in the live markets who will walk over dead bodies to get paid and have no qualms about following the smart money to where they are going. Professionals let the smart money lead the way and do all of the dirty work with their money and volume. Why not just learn to do the same?

The harsh reality of the live market is that there are people in there who are trying to take your money and transfer it from your account to theirs. Are you going to *let* that happen? By now if you have read this far, this book might be scaring the crap out of you. That is probably a good thing. If you are brand new and want to really *do* this business and are not just playing around you should plan to *not* do these mistakes and take as long as you need to take with your learning curve. The market is *always* going to be there waiting to pay you!

Use price action with supply and demand to have a lethal double whammy edge over the sheeple of the herd who have all studied the wrong information from the start on day one and have been taught unrealistic information that will not help them in any way in the live market. Use price action with supply and demand with sound money management and a detailed trading plan for whatever instruments you desire to work in and there should be no reason you cannot make *some* money every day in the live market once you have studied and prepared yourself properly.

<<<>>><<<>>>

You *must* overcome the fear of “pulling the trigger” on a crude oil trade

The absolute only way you as a retail sheeple of the herd crude oil trader or investor will be able to make a living in the live market on a consistent daily basis is to be 100% confident in your skills and have *zero fear* or apprehension about being decisive when it comes time to pull the trigger on a live trade. The logic, rules, and strategy of S&D trading are certainly not rocket science; however brand new traders tend to complicate things for themselves at the onset of their trading careers. The challenge comes in when you actually attempt to execute a consistently profitable strategy on a regular basis.

When trading crude oil properly, you have to get excited to sell after the majority of the sheeple of the herd has bought and after a big rally in price, this will challenge every emotional bone in your body to the core, and can be very daunting for a beginner. This chapter is about some ways to help reduce the emotional obstacles to consistently profitable trading for a brand new beginner.

To make a living as a professional trader, *especially* doing it intraday you will need to be trading a *very large* risk capital account. I *strongly advise* against day trading unless you have a very large capital account and can trade size. What do I mean by a large capital account size? I mean one hundred thousand or more dollars to start. This is really the *only way* you could make any real money by trading intraday and make a living at it.

The one thing I *can* tell you that works, is keeping it simple and it will be. I strictly am a position trader now. I made some money day trading and *got the hell out*. I don't day trade anymore and I don't recommend you do either. I know you won't listen to me at least for now and you will day trade so just learn it the *right way* from the start if that's what you want to do.

So here are some ways that a brand new self-directed beginner can reduce the emotional impact of working in the live crude oil markets with their hard earned real money. The first way I tell new traders they can do this is by simply making the candle color on the chart they use the same color. Most people use red and green candles which make for a cool looking chart but *may not always* be the best choice for real trading in the live market with real money and I'll tell you why.

If you are selling short *after* a rally in price and *into* an objective supply level (which is the highest probability shorting opportunity), you are likely getting ready

to sell short *right after a bunch of big green candles form*. Selling short after a series of big green ERC candles is scary as hell and *not* comfortable as that creates the strong illusion that price is going to keep going higher, *what is even scarier is that it absolutely could*. If you are doing it in gold or crude it could cause you to *piss your pants* if you're wrong!

This huge move is normally seen like I previously have said as a large expanded range candle (ERC) or a bunch of them. Does not matter what color you make your candles and I suggest you just have them the same color, as the color of the candles will *make no difference* as to what data the candle is telling you. The *only* people that can make an ERC in the live market are the smart money. The color of the candles is not nearly as important as the location of the candles the smart money is making.

All that matters is that you understand and become an expert at what to see, quantify it and where it is happening. When PA comes back and revisits this value area again in the future is when you want to be there waiting with your resting order in the live market or be at you're work station ready to click the mouse and execute the position. Here is another **tip**. You already can see where price traded at, you need to see and quantify where price *could not* trade at.

Once you learn to see these value areas and quantify them *in real time* you will be able to invest in any asset class on any time frame, you will also be able to have the confidence to *set it and forget it*. This is the most robust method of investing and trading there is today and has been this way since the beginning of time. Every new trader thinks they need some magic method or indicator and they are *sadly mistaken*.

Set it and forget it trading is also one of the names for supply and demand trading. In this type of method you can set your resting order in the market based on your rules and analysis and then just *wait for price action to come to you*, doing this can greatly reduce the stress of trying to click the mouse to pull the trigger when it is time to do so.

The investing and trading business is a business that is all about patience. It is a lot of waiting around for a price to get to where you need it to be to make your money and that *can take a while sometimes*. It requires an iron will not to chase the price or to see something that is just not there. Doing these last two, chasing and seeing things that are not there, will get a new trader into a lot of trouble. **IF**

IT'S NOT THERE, IT'S NOT THERE! All the more better to only work from a rule based plan that has criteria that tells you when to execute a position.

Only do what you know to be true when working in the live market. The value areas are *quite easy to spot* once you have trained your eye to look at current price action and then look up and left as far back as you need to go. Spot them, draw your lines accordingly, then *wait* for PA to come back and fill your resting order you have waiting. If you are using an automated strategy which as I said, I *strongly* encourage you to do, all you will have to do is *set it and forget it*, sit back and wait to get paid. When you set and forget it can truly give you all the free time you are looking for from your brand new trading business *and then some*. If you are willing to put forth the effort and learn how to trade with a *set it and forget it* mindset you can have a very nice life from trading the financial markets.

If you are there with your order you can take advantage of this movement and make money from it. I also recommend that you have a stop-loss order and a profit-target-exit order attached to your entry order when it is in the live market waiting for price action to come and fill it. I suggest you automate *as much* of your trading plan as possible and let the market do all of the dirty work for you.

All you have to do when your order is executed is sit back and wait to get paid, very simple, it honestly doesn't really get any easier than that! To be successful you must be able to filter what is *real* and what is *not*. That takes a while to learn, however it is do able. You just have to want to do it. Just ask yourself this one question: do I want to continue to lose money? Your answer should be a no brainer! Smart money shows you the money – can you find it? Open your eyes and as I said smell the crude oil money. mmmmmm

I tell newbie's the day you "pull the trigger" and go from your demo account to your real live trading account your whole world is going to change including your emotions. It did for all of us who have made it and it will for you as well. You *will* have to do it (pull the trigger and trade live) however the better prepared you have made yourself for the outcomes the better you will do from the onset of your live market activity. You need to be on point need and at the top of your game when pulling the trigger with your capital, if you are not; you most certainly *can* and *will* get FUBAR.

All traders who have overcome the fear of pulling the trigger on a trade who have become consistently profitable *use a solid uncomplicated rule based plan*. They

have achieved their long term success by properly executing their plan flawlessly over and over and over again. They are prepared to execute a position at all times with zero fear or hesitation and this is just one of the traits that make them successful. Make no mistake about it, you better have overcome *any fears* of clicking the mouse to execute a trade and be *completely prepared* to work in the live market before you ever set foot in there with *real money*.

Your rule based plan should be solid by now and include your criteria for entry and exit using supply and demand value area information and any other metrics you have incorporated into your plan. This information should also have your risk reward criteria as well. If you're set up *does not* give you the correct risk reward that fits your plan criteria then it is up to you to make the decision to not take action, you now know when ***not*** to trade.

I tell new traders they can *be* wrong after they pull the trigger, they just can't *stay wrong*, as it could be will be death to their account! If you have taken a position and it starts to go against you, it is not time to panic and start trying to exit. Why? If you have created a rule based plan that takes into account that a position might pull back a little you will have a protective stop loss there to save anything catastrophic from happening, *right*.

A traders strict adherence to their rule based plan ensures that they have the edge needed to pull the trigger in the live markets every day with *zero fear* and have the confidence in knowing that by following the plan they will be giving themselves the best possible opportunity for a high probability positive outcome and ensuring their long term survival in the live markets.

Your trading plan will be the difference between *success* and *failure* in the live market. When you are writing and making your trading plan you will need to keep in mind what type of trader you have decided on becoming and what your goals will be. Your trading plan should be tailored to the type of investing and trading you will be doing in the live market and also reflect your psychological makeup which will also help when you *do* pull the trigger on a trade.

The plan you make for trading is entirely personal and should not reflect what *any other* investor or trader is doing. How you become successful is going to be entirely dependent on *you* not someone else. You are in control of your investing and trading business and your plan should be your own. Once you have your psychology and emotions under control you will achieve consistency and be able

to make as much money in the live markets as you desire. Combine that with solid money management principles and you will have become a professional investor and trader who can pull the trigger on a position and just sit back and enjoy the ride.

There is also a lot of fear involved in trading. When traders make a mistake in their analysis, which causes them to take a loss, they can develop a fear of being wrong all the time. This can psychologically prevent them from “pulling the trigger” when they need to. I remember the first time I pulled the trigger with real money and executed a live market position. My hand was physically shaking after I clicked the mouse and I thought my heart was going to burst out of my chest it was beating so hard. I have a laugh about it now but man that was a *crazzzy* adrenalin rush for sure, it gets easier though, trust me.

Another great way to overcome the fear of pulling the trigger and filter out fear and greed from your trading is to automate it. When you see that your criteria of your rule based plan are set up in the market you should set your resting order in the live market and then let your automated plan do all the work for you.

You should filter out news, events, and all data that *will not* help you in the live market and automating your metrics can also help with this. You now know that the *only thing* that matters in the market is where the imbalance of supply and demand is and where the smart money has their resting orders in the market. Additionally, you must know where the retail ‘sheeple of the herd’ are making *their* mistakes also.

When smart money is buying *you* want to be buying, when smart money is selling *you* want to be selling. You know *what* they are doing and can see it on your price chart. You are now *investing like* and *trading like* they do and therefore shall make money *with* them all day, every day.

It’s this kind of motivation, mental toughness and highly competitive by nature as well as an inner driving force to overcome competition that fuels the best traders to go the extra mile to achieve their goals. Having a “kill everyone” mentality to work in the live markets and pulling the trigger when everyone else *is doing the wrong thing* can be daunting to say the least and will challenge your being to the core. Call it being contrarian or whatever you like but if you can’t do it (pull the trigger live) you should just stay the hell out of the live market until you can.

Successful traders know their own trading personality profile, they know what makes them tick (no pun intended again). They all have developed all the personality traits needed to be a consistently profitable market participant over the long term. They develop habit patterns such as having a morning routine that they do religiously every day before trading. This also helps them to be relaxed and to be able to just pull the trigger without fear every time, kind of like a machine would.

The take away from this chapter is that you *will* need to be prepared to work in the live markets with your hard earned real money. You can trade and learn your trading platform on demo however you *will* have to pull the trigger and trade live with real money at some point. The choice is entirely yours as to *how* you will prepare yourself psychologically to compete with the best traders and investors on the planet on a daily basis and make money.

A trading checklist can be a subpart of your trading plan or a condensed trading plan, it could even be a type of scoring sheet to check off that you can reference when you're on the edge of your seat about to jump in the market. Your check list should include all the parameters of what you exactly need to execute a trade. If all of the parameters on your checklist *are not met* then your check list *is not* complete and it is good to take no action. Cash is also a position, always remember that.

This checklist is one thing that can really be of assistance to a brand new trader in the sense that they can have something to follow as a guide line that works in conjunction with their rules based trading plan they have composed for the type of trading and investing they wish to do.

What does a check list need to have on it you may be asking? Your trading check list is going to be the most personal part of your plan actually because it is going to tell you whether to pull the trigger *or not* to execute a position in the live market with real money. Should your parameters not be met on the check list, as I said in the last section, it is going to be best to *take no action*.

Something your check list *could* include as basics are: What is the trend is it up or down. Is it approaching a supply or demand value area? If you are using any indicators are they giving you buy or sell signals in that supply or demand value area? Are there any important data points coming out that could be a catalyst for

price action to be pushed into your charted supply or demand value area? Are there any of your indicators which are giving you confluence for trade execution? Are there any of your candlestick reversal signals in the value area?

These are just some basics that can be on the check list. You will need to do *a lot* of searching within yourself to develop what your execution signals will ultimately be though. No one is going to be pushing the button on the mouse *but you* so it is important to have it all down pat *before you push any buttons*.

When it all started to come together for me it was not until I start using the principles of supply and demand in conjunction with price action that I started to really see a change in my profits. I had to go back and learn the basics of what supply and demand are to be able to understand how to utilize them in the live market. Supply and demand is the *only thing* that moves price in the market.

Now I can place a resting order in the live market, get driven to the airport, board a plane a fly anywhere on the planet with confidence and zero fear. I truly set and forget. Stops are in; emotion *is out* as it were.

The thing I count on knowing is that my stop loss and profit targets are in the live market as well. There is *nothing but time* at this point which has enabled me to write this book you are reading and all the others I have out currently. When you do a set it and forget it trade *you had better have done your homework!*

One more great way that can help you to pull the trigger on a live trade and to really succeed at trading the financial markets, is for you to thoroughly understand risk reward, position sizing, and risk amount per trade, you also need to consistently execute each of these aspects of money management in combination with a highly effective yet simple to understand trading strategy like price action and supply and demand principles. As a brand new beginner people *do not do this* and it ends up costing them *some* or *all* of their hard earned money in the beginning and it doesn't have too.

Concentrate on having on a solid well-constructed trading risk plan. The better your plan is, the more you're going to be able to move forward with confidence and zero fear and be able to pull the trigger without hesitation. You can also identify when your best trading schedule is. When do you find you do your best trading, during RTH, Asian session, London? If you can determine what time works *best for you* it can greatly help with your profitability. Only go in the live market

you work in when the liquidity providers are providing liquidity in your market.

The consistently profitable trader is actually *very excited* about pulling the trigger on a trade because they know that the trading opportunity is very low risk, as you are entering your position as close to your protective buy stop as possible *and* it is all automated so you can be *truly hands off*. Make sure you always *adjust your position size* to a level that you're more than comfortable with and when it's time for entry, instead of watching the chart and fearing a potential loss, focus on *how low risk the opportunity is*. I'll say this one more damn time. *Only trade with capital that is disposable so if it is all lost in the markets there is no emotional attachment to it.*

The best traders *are the best* because they constantly try to improve themselves. I can't stress enough how important this mindset is in trading. The markets are dynamic, and they will demand the very best of you *day in and day out*. Automate your plan, keep your losses small, use mono colored candles then just set it and forget it. Pull the trigger, make money!

Only two things can happen, you can be paying **them** every day or you can be making some money right along with them. Don't be the one who pays be the one who *gets* paid!

<<<>>><<<>>>

Smart ways to play crude oil

There are 3 different actionable ways a self-directed beginner investor or trader could add exposure to their portfolios *right now* while this whole crude oil debacle is going on. One could simply day trade crude oil futures intraday **NOT RECOMMENDED** for self-directed beginners with a *small account* as it could get you into trouble *very quickly*.

What you would need to do to trade intraday and be safe about it is trade size for 150-200 ticks in the RTH session and then you're out. Now what I mean by size is that you are trading 10 crude oil futures contracts at one time for a short term income play on a daily chart on a daily basis. It would take an capital account size of at least one hundred thousand dollars to play this way and as a beginner it most likely *not the way you will be playing* but I thought I would mention it just in case you have the hundred large to throw around.

Here is a little of the math on trading 10 contracts intraday just so you know what kind of income could be made. 10 contracts x 200 ticks equal \$2000 dollars in one day. There are 250 trading days in one year so \$2000 x 250 equals 500,000 thousand dollars. That's a nice yearly income if you ask me.

If you have learned everything you need to know, have become a specialist in the opportunities in the sector you could trade gasoline futures if you have the risk appetite for action and some *huge balls*. Just remember, gasoline starts fires and can *quickly burn up* your account. *Just sayin..*

Another way a beginner could play is to trade equities of companies that are in the crude oil sector be they producers, explorers, drillers, refiners, or field service companies. You can also effectively trade and invest in this sector through ETF's where you as a retail trader can have exposure to the sector through one fund but not have to buy the company's stock in the open market and there are ETFs for nearly every segment of this market. For a beginner investor, this I feel is the safest way to play as of the writing of **How to Swing Trade Crude Oil for High Profits**.

How you play it in this game at this time as a beginner will be completely up to you and it will also depend on what your appetite for risk is and how much capital you have to work with in your trading account at any given time. Remember *it costs money* to make money in the business of making money with money and trading and/or investing in the crude oil sector is no different. There are fee's to

be paid, commissions to be paid, settlement fee's, margin interest if you use margin which as a beginner I *strongly encourage you **not to do***. As of the writing of **How to Swing Trade Crude Oil for High Profits** for transparency sake I am long BBEP, PBR, and MRO.

One other way that is looking very attractive to me at this juncture is to make a long term horizon play on the transportation of crude, LNG and Natural gas. As of the writing of **How to Swing Trade Crude Oil for High Profits** the export ban in the US has been lifted and the long term outlook for these commodities to get where they need to go is looking *very very* good over the long term. I should say here that on a short term basis I am also looking at the storage of these aforementioned commodities as well. There are crude oil tankers sitting offshore as I write **How to Swing Trade Crude Oil for High Profits** filled to the brim with crude waiting for it to go back up so companies can sell their crude at a higher price. I feel now is the time to buy any companies that your due diligence say to buy as long as they meet the criteria of your rule based plan and meet the metrics you have put in place to make your trading decisions.

Right now as **How to Swing Trade Crude Oil for High Profits** is being written it is looking to be the best buying opportunity in a long time to enter this sector and play it for a long term play time horizon. How long? That is anyone's guess and is what being a market speculator is all about. The crude oil market ***is not*** for the weak minded or faint of heart to be sure and you had better have *completely done your homework and DD* before you ever freakin push the buy/sell button and *you damn sure better be using a stop loss order on anything you do* in the crude oil sector if you enter.

<<<>>><<<>>>

Easiest fastest method beginners can learn to trade crude oil right away

If I could introduce you to a far superior stress-free and relaxed approach to investing and trading that yields *less risk and much more reward* potential than the rapid paced, mentally draining high frequency trading intraday strategies would you want to do it? If you could make an *unlimited* amount of money and not have to be in front of your workstation while you are doing it *would you be down for that?*

I am talking about the “end of day” trading approach, where you only have to spend a *small amount* of your time in front of the charts per day interacting with the live markets, and have a *much better chance* of achieving great results for such *little effort*. When I say small amount of time I’m talking maybe 5-10 minutes small, *that’s it*. The rest of the time in between those 5-10 minutes is yours to be doing anything it is you want; anywhere in the world you want to do it, *it honestly doesn’t get any better than that in this business*; it’s the ultimate slacker lifestyle way of making an income for yourself. Remember, you don’t need a job you need an income, *right?* End-of-day trading basically allows you to fit in trading around your schedule as a beginner when you are first learning how to trade.

One thing is absolutely *for sure* in trading, and that is time equals money, and the longer term your perspective is the more money you will make. EOD trading allows you to be in the market for a longer period of time thus making you more money. Just because you are in the market for an extended period of time does not mean you need to be in front of your workstation for a long time. One of the hidden benefits of EOD trading is that it also captures overnight gains (which could be a lot) that the other trading sessions may add to your position. I always like to say that you don’t make a lot of money by trading you make a lot of money by being in your position in the live market.

The beautiful thing about end of day trading is you only have to check the charts at one critical time of the session, the New York Close. New York close candles are considered to be the standard by smart money and also many professional traders and essential for end of day trading strategies. This allows many people to take up trading, while not having a negative effect on their normal day to day life lifestyle. End of day trading strategies are focused mainly on using the daily time frame, it’s easy because you only need *one chart set up* other than a weekly or a monthly for doing MTF analysis. As a beginner it is the *easiest fastest method* to learn to make real money *right away* in the live markets.

It's only when a brand new investor or trader truly starts grasping the realities of end of day trading that they realize how much time they could *be free*. What is freedom worth to you? For me, I already had a lot of freedom from another business I already owned, I just wanted *more of it*, freedom that is, and I also happen to love money so I also wanted to make *scads more of it* as well. I had to learn how to capitalize on low volume, low risk, high reward, but also high probability trades.

Sometimes it's just those subtle things that you overlook, like the closing price, that can give you a piece critical information to anticipate future price movements. When combining the PA of your chosen instruments with supply and demand and EOD trade signals it is the most robust easily repeatable actionable method *for any beginner to learn in a short period of time*, in order to begin making money *right away*.

One of the biggest advantages of end of day trading is the way in which it allows traders to carry out their trading activity around a demanding "*slacker lifestyle*" or other various shenanigans in the life of a slacker trader. Weather its hopping a plane to go meet friends in Europe for a fun weekend or scuba diving in Belize with whale sharks, chilling out at the marina on the back of the boat, what it's going to be?

You've heard the saying "trade less and make more"? This EOD method of investing and trading is ***exactly*** how you are able to do that. It has some *great advantages* for a beginner investor and trader that will enable them to make money *right away* right from the start of their career which we will talk about now. An obvious reason for end-of-day trading is that it's *a lot easier* to set up and implement for a beginner trader.

As a self-directed beginner here is something for you to think about, one or two trades a month can make you a very wealthy with regard to the size of the amount of money you win on those one or two trades, and *you don't even have to be in front of your workstation*. If you trade stocks there are over seven thousand stocks available to trade on a daily basis at any given time so it is quite easy to find something that has a signal which may meet the criteria of your rule based trading plan. There are 250 trading days in a year so you have *plenty of time to make money*.

Brand new investors and traders are able to step back and look at the bigger picture, and contrast the daily time frame vs. noise charts as I call them (lower time frame), have a much clearer and more accurate view on how the market is moving. This means better accuracy, lower stress, lower risk and higher reward higher probability potential for each trade. The *only other charts* they need to look at when doing EOD trading are the weekly or the monthly or both to get the bigger picture curve for the supply and demand value areas they need to trade from.

Once you have learned and mastered an effective trading strategy like supply and demand and use it in conjunction with price action, you then need to formulate it into a rule based trading plan to achieve your profit goals from the markets. Beginners tend to over-complicate the easiest part of trading, which is analyzing the charts and looking for a trading signal. It is because they are mentally conditioned to do this right from the start of their trading career. If you are *only* trading from and **following your rule based plan** there should be *no question* as to what set ups you are taking.

Some advantages to end of day trading for beginners are: end of day keeps you out of the market noise and intraday volatility that happens every day which in turn reduces the stress that is caused by watching lower TF charts. This method of trading is the *easiest* by far for a beginner to utilize the supply and demand method of trading on and be able to make money *right away*.

This end of day method of trading is the method that actually lets a trader live the slacker trader lifestyle everyone is so keen on that gets into this business, this trading style *actually enables to you to live it*. This trading style actually enables to you to live it. I always love saying intraday traders are only ones who work 80 hours a week to have more free time, *really?* I work about 30 minutes a week if that, although I am a position trader who thinks in long term time horizons. I can put my marker in the market in the morning, get driven to the airport and be anywhere on the planet in 24 hours *and making money while I'm en route*.

Stay in the trend and your profits run *blah blah blah* new traders hear that a million times when they are first starting out *but no one tells them how to do it*. With end of day trading you can do just that because you only have to look at a chart one time a day, *can you get your head around that?* I sure did, and quick too. You should be in the trend *until your plan rules say it's time to not be in the trend anymore* and if you have automated your trading plan and method there should

be *nothing* for you to do.

The beautiful thing about the supply and demand trading techniques used in end of day trading is that they can be used on *any* liquid market on *any* time frame just in case you decide you want to do a bit of short term income trading, these supply and demand trading techniques can slide easily into your method, all without compromising your trading potential or your capital account.

End of day trading is much more objective because you only have to analyze *one signal* at the end of the day, it honestly does not get any easier than that.

Automating your trade plan also keeps the decision making tasks to a minimum and reduces your workload as well so you can be living the slacker lifestyle we were talking about, *right*. If the signal is there **BOOM** your plan takes the signal if it's not, then **IT'S NOT**, when your plan is automated you can "*set it and forget it*" and go live the lazy slacker life.

By implementing this kind of "*set it and forget it*" approach with an automated buy stop order, you don't have to sit it in front of the screen and wait for the execution to occur. The automated buy stop order will automatically trigger you in if one occurs. This *removes emotion* from trading, because you are letting the market *do all the dirty work* for you. The trade will trigger and work out, hit your stop loss or not even trigger at all. Set and forget combined with EOD trading is a *very powerful* combination. When your method is automated you can be hands off and **be right and be in or be right out**.

This type of investing and trading also keeps your cost of doing business down, *waaaay* down. Remember, it costs money to make money in the financial markets and the less you have to pay in commissions, settlement fee's broker fee's etc. the more you can be spending on adding more contracts or shares to your next position or *buying fuel for the G650*.

You can trade the signals you get at the end of the day or you can chose to trade them on the open of the next day, the choice is completely personal when doing this type of investing and trading. There is no right or wrong way written in stone the only *right* way is the way that works for *you* and matches up with your trading plan and methods, it also fits your personality and makes *you* money, period!

Your rule based plan should have your executions being automatically done for you and your SL taking you out of the position if you use a trailing SL methodology,

if not, then your exit should *only* if your PT is executed from the PA.

One more way that end of day trading is great for investors and traders are that it keeps you clean from becoming a “chart monger”. What is that you may be asking? A chart monger is a retard newbie dumb ass who is addicted to the action of the chart *so much* they cannot get away from them and have a life. The difference between “chart mongers” and educated traders is *not* letting the euphoric feeling of winning money influence you’re trading psychology and behavior.

You *must* be able to and have the ability to step away and break the connection from the live market. End of day trading helps with this and much more as far as a trader’s psychology is concerned. You must be able to *disconnect* if you want to have all of that slacker time we’ve been talking about. I won’t lie and say I never took my laptop into bed with me when I was first coming up however once I learned about end of day trading I just turned everything into a slacker lifestyle mentality and perspective and that was all it took for me, *what’s it going to be for you?*

This business can have physically draining and mind numbing effects take their toll not only on the traders account, but also on their day-to-day life. This business *can* and *will* burn your soul if you let it, *don’t be that trader.*

One time when I was coming up learning trading, I had bought the house I have right now and my sister was here doing some work for me. I was in my office screaming at the chart I was on at the time and she just looked at me and said “*dude you need to chill*”, I was like a madman. Finally, after a while when I got my head out of it and became consistently profitable she would call and say “did you get that potty office chair and fridge for your office yet”? I still laugh about that one, but she was right and that is one of the biggest reasons I went to EOD trading. The free time and *freedom* I have now are something everyone who gets into this business wants but is not willing to spend the time to learn how to get so they trade intraday and think it is the way.

Once I learned EOD trading I never looked back, and *rarely* trade intraday unless it is for short term income or if I need to buy fuel for the G650 for a weekend jaunt to where ever. Just kidding, but you get what I am saying *right?*

You would be hard to argue with a trading system that allows you to make you an *unlimited* income, lets you do any hobbies or interests that you would otherwise

have been doing in your spare time, now you can do them *full time*, it's a hard deal to beat, and *you can only get it* (the slacker lifestyle) from investing and trading in the financial markets. *Set, forget and head to the jet.*

Freedom, unlimited income, slacker lifestyle, *what the hell are you waiting for?*

<<<>>><<<>>>

Bonus chapters for beginner crude oil traders

3 things that will help you win more trades – large PM, correlation, confluence in signals

Mixing emotions with money-based decisions is usually a plan for disaster! I ask people who come to me for help if they want to be a winner and be right all the time *or be a money maker*. Unfortunately, too many brand new traders think that being right is more important than making money, I beg to differ!

Trading success is not just about winning and losing individual trades, it is about making money over time and actually *keeping* it; you *must* look at the big picture to become successful. It is a common known fact among professional traders that risk/reward ratio, not winning percentage, is the real key to becoming profitable and sustaining a career as a trader for the long term. What seems perfectly logical to do in our minds may not work quite the same in the live market using real money.

I tell brand new traders they must think in terms of probabilities, and get it ingrained into the subconscious of their trading mind. They must be able to ultimately eliminate emotions for every single trade they place. This may perhaps be the most difficult aspect of becoming a true professional trader, but a trait that one simply *must* have to stand any chance of survival—both financially, and psychologically.

Most brand new traders think that they have to win all the time. As someone once said in a movie “thaaaaaats not entirely true”! Being a professional trader means that you actually *will* have some unfavorable outcomes in the market and you are OK with it. I have a positive outcome maybe 40% of the time however I make a double bottom oil tanker full of money from that outcome; the other 60% of the time doesn’t cost me a lot, because part of my plan is to know how much I will potentially lose *before* I execute the position.

Should you have a negative outcome on a position if you are using supply and demand it most likely means you saw the value area you opened your position up from wrong that’s all, *nothing sinister happened*. When this happens to me I just know I should have looked further back on the chart to see the supply and demand curve better and perhaps looked at a higher time frame.

Another way to enhance the information you can get from supply and demand value areas on the price chart you are working is to use multiple time frame analysis (MTF). I will have a book coming out on MTF soon so be watching for it. You need to *always* be aware of the big picture. Using multiple time frame (MTF) analysis or correlative charts is the one of the ways to be aware of what is happening in the big picture.

In supply and demand trading it is all about putting the probabilities in your favor. *All* you should be looking for are low risk high reward high probability entries on the chart you are working on, if it's not there ***IT'S NOT THERE!***

If you have followed your plan everything is known *before* you click the mouse to place the position in the market, you know what you are risking as your stop to gain your profit target, all of the information is given to you on the chart. It is your job as the professional to figure out the signals that allow you to identify, quantify and execute quality trading opportunities. Once the opportunity to acquire a position arises you must be decisive and *act without hesitation*. You should *already* have determined what your entry; stop loss and profit target will be *before* executing the position, if it *does not* meet your criteria then just pass and reassess.

It is critically important for you to have the important distinction between indicators (if you are going to use them) that may help you in choosing the right tool to use given the market environment you are trading in. While I am not an advocate of using indicators to trade with, some of them could be beneficial to a trader if they are used properly, and only in certain situations to provide confluence of price action at a supply and demand value area.

Some indicators measure over bought and over sold conditions in a market and some indicate what the trend of a given market is at that time. You should *only* be using the indicators to see these conditions and only be using them as I said, to give you confluence of price action as it is in the a supply and demand value area or approaching one.

This is not to say that indicators and oscillators don't work or that we should not use them. The key point here is that we want to use them in conjunction with price action and supply and demand. Indicators and oscillators are fine confirmation tools when used in the appropriate areas for the right reasons and they are providing confluence of supply and demand value areas and the trade

signals you have chosen to use in the plan criteria you've developed.

Make no mistake indicators are *ALL* lagging and only show you what has previously happened. Do you want to make a decision with your real money in real time in the live market with something like that? I sure don't!! Your only goal in trading should be low risk, high probability, and high reward trades, and if you incorporate real support (demand) and resistance (supply) into your analysis you can trade like this and *make money every single day* in the live market just like the banks do.

Always remember that *live market* price action is the *only* indicator that *does not* lag in the information it is providing for you. All the other fancy named indicators do *nothing but* lag in information as they are always late in printing what has actually already happened with price *especially* if you are only trading on a demo account.

Knowing how and when to use *the right tool at the right time* to support your trading decision is critical. Learn the proper way to use your tools and you can make as much money in the live market as you desire. Learn the *wrong way* and you can expect your money train to crash and burn up in those flames and smoke I was talking about earlier and no one wants that now *right?*

Price action is *all you need* to honestly give you all the information you need to make a valid trade execution decision. There is no delay in live price action because it is just that, *live*. If you have a very good software program and an excellent data feed that should be pretty much all you need to give you the information you need to see price action in real time.

All that matters to a professional trader who uses supply and demand principles for their trading are: is the supply and demand value area a quality area and does it offer a significant profit margin. These two things are the *only things* that will make you money in the live market. If you cannot see and quantify supply and demand value areas and use them to base your trading decisions off of, and you cannot determine if you have a profit margin to work with, it is best you *stay out* of the live market until you can.

It is all about putting the probabilities of having a positive outcome in your favor when you are deploying your hard earned capital in the live market. I only enter the market if the chart is telling me that there is a profit margin to be had. All the

information is there for you on the chart you just need to train your eyes to see it and *see it in the right place*.

If the data you have analyzed matches up with the criteria in your plan, it is just a matter of being decisive and taking action. I have as part of my plan that my stop loss and profit target all get deployed together at the same time the position is executed in the live market. There is nothing to do at that point but sit back and wait to get paid. Have a winning plan to work in the live markets every day and *you* can sit back and get paid handsomely also.

If the chart data *does not* match up with your plan, and the rules of the plan then there is ***nothing*** to do. Sometimes the very best action you can take is to take *no action at all*. One of the traits of all professional traders I associate with is that they know when *NOT* to trade, knowing this will come over time.

How far did price move away from the value area before returning to it? The farther price moves away from a level before returning the *greater* the profit margin and higher the probability of a successful trade. You should only execute a position in the markets only *after* having determined your profit margin and risk.

Your rules should tell you what you are looking for, and you should know *exactly* what your profit target and stop loss will be *before* entry. You can determine this by knowing where the supply and demand areas are on the chart you plan to work on. How far did price rally up from demand level or down from a supply level before coming back to it? That is the initial profit margin. If you are looking to get 2:1 then the move away from the area should have been 2 times the measurement of the value area or better. This is how you determine your initial profit margin. It will be up to you to decide how much money you are looking to make on any given position, being conservative can make you a nice living.

Planning out your risk on a position in supply and demand trading is very easy because the chart tells you all the information you need to know. If you want to get 2:1 then you just make sure that the chart of the instrument you are working on is giving you 2:1 or better if you are looking to get 3:1 then look for a profit area that is offering 5:1, this is how you can win more trades if that is what is important to you.

All the information is there for you on the chart. It is up to *you* to quantify and interpret the data and make the decision to enter based on your plan and rules. If

the chart you are on *is not* giving you what it is you need then it is best to ***not take action***.

Here are some **tips** for using supply and demand to trade stocks (or any other asset class). Look for the way PA leaves a value area on the chart. Also look at *how much time* PA actually spent in a value area. These are two critical pieces of information; you're looking for how much time PA *could not* spend in that particular value area.

Another thing to look for is as I said *how far* PA moved away from the value area before returning to it. This information gives you your profit margin and price target information. Do a search and look up a supply and demand foundation and application course that teaches you this valuable information, they are available online for **free**. Study it hard if you want to be a winner in today's tough markets.

Your rule based plan should include your criteria for entry *and* exit using supply and demand value area information. This information should also have your risk reward criteria as well. If you're set up analysis *does not* give you the correct risk reward that fits your plan criteria then it is up to you to make the decision to not take action, to do so would not be following your plan. This is where a lot of new people make mistakes in the business of trading; they try to see things that *are not there*, it is one of the biggest problems brand new self-directed investors and traders need to overcome.

Having a set plan and also having your profit target and stop loss be deployed when your position is executed in the live market is another way to *avoid* making mistakes. By doing it this way, and having a plan you can take out some of the stress involved when your real money is working in the live market. As I always say in every book, the only thing *you* have control of once you are in the live market is how much money you *don't lose*.

In supply and demand investing and trading if you are doing it right, your stop loss and profit target are predetermined before you even take any action, which is the beauty of investing and trading with this method. I encourage you to begin studying supply and demand trading right from the start of your career and the start of your trading business. You will develop an edge that 97% of the sheeple of the herd do not have; this is how you can make money from *them*.

No one can predict what will happen when in the live markets, there are too

many things going on all at one time. You *can* however see with a high degree of certainty where the markets *will* go to if you know *what* to look for and *where* to look for it, if you use supply and demand as your guide in your trading and investing you will know *exactly* what to do.

Here is something to help you put this section in perspective. Banks and institutions *don't use* indicators to base their trading execution decisions on. They also are in the business to make money so ***they don't day trade***. If you can get your head around that and then start to think and trade like them and see where they are working at on the price chart there should be no reason you are not making *some* money trading in the live markets when you're ready.

<<<>>><<<>>>

Develop a “*smart plan*” then implement it for trading crude oil

Another way to increase your win percentage as a self-directed investor and trader is with an important edge-building consistency tool which is to use a “smart plan”. How you build your own smart plan will be completely up to you, no one other than *you* will know exactly what works for *you* and that is why smart plans can only be composed by their owners.

Professional investors and traders, at least the ones I know and associate with, are only interested in one thing and that is *capital preservation*. *Nothing else* makes any difference and is the *most* important thing that is in their plan for money management in the live market because without capital preservation there can be no capital appreciation.

Most of these professionals have what I call “smart plans” meaning their position is managed from the time it is executed in the live market until the time it closes itself out at the designated profit target, notice I said closes *itself* out, that is because most professionals including me use an *automated system* to do their trading which I talked a little about earlier in the book. If you didn’t catch on to it maybe you can go back and re-read that section.

Money management in the live market is what it is all about *not trading*. You don’t actually make money by trading you make money by being in the market *in* your position. If you don’t have any money left you can’t *be* in the market hence what we were saying about capital preservation.

Having a “smart plan” should be the goal of *every* self-directed trading business. Smart money management should be a part of every trading strategy and it is something that I really stress all the time to new traders who come to me for help. I tell them to just stay out of the live market until they have a plan composed that they know works for *them* that is suited for their personality type and also the type trading which they desire to do. Your smart plan needs to be composed and tailored for the type of instruments you are trading and also what you’re goals are from your trading business. If you are trading multiple financial markets you may need to develop a separate plan for each individual market you work in.

New self-directed traders make the mistake of *not having a plan* to manage their trade once they get a fill and once that fill happens *they have no idea how to deal with it*. They sometimes get panicked when the trade is suddenly making money

and they don't know what to do to manage the equity they have in the position and will close the position prematurely, a smart plan can prevent this from happening and add to your profits. As I said, it is not about winning it is about making money, *lots and lots of money* and if you have a smart plan managing your positions for you you'll be well ahead of your competition who *are not* utilizing a smart plan.

The best way to filter out your fear and greed from your trading is to automate it. When you see your criteria of your rule based plan is set up in the market you should set your resting order in the live market and then your automated smart plan *do all the work for you*. The price chart tells you *what to do* and *where to do it* you just have to have a solid plan for *what to do with the information* the chart gives you. I even have a smart plan for long term horizon positions I am in, the smart plan automatically moves up the SL when the PA of the existing position moves up a certain amount, the entire management of the position from open to close is *hands off*.

The consistently profitable winning professional investor and trader *only* enters a position based on their plan which normally calls for the stop loss and profit target to be *already known* before the position is even entered. I personally use an automated entry so there is *no emotion in it*, I just set the entry parameter in the live market and when I am filled *everything is done for me*. All I need do at that point is wait to get paid; *there is zero stress, zero drama, and zero complications*, the less you touch the mouse *the better off* your account balance will be!

My smart system executes my trade and places the stop loss and profit target right when the trade is executed; there is no doing anything manually. Once the position is executed it either makes money or gives me a small but controllable loss. Most of the time, I don't even look at the chart and I am not even there while the trade is working, I am at the beach, or the cigar club or anywhere but in front of the chart, that is the beauty of the smart plan, *it's smart*.

So let's review here a moment. Some things you could/should have in your smart plan as well as your rule based trading plan might include what your entry metrics are which you would have composed in your rule based trading plan. You could also have the type of SL and PT you wish to have deployed along with the execution of your fill on the position. You could even have what probability boosters you are looking for built into your plan to give you confluence on actually wanting to execute the position.

You can even go as far as having an algorithm written for your smart plan to verify all the metrics which are contained in the smart plan.

All that matters at the end of my trading is *how much I have made* in the market, that's it, no office politics, no BS drama, no complications, *just money making*. I don't even need to be in my office to make money as my own 3MS&D+3 smart method takes care of all the business for me because that is how my "smart plan" is composed, *profit target and stop loss are in emotion is out, beautiful!*

As I always like to say, you have to be willing to develop then have a "kill everyone" mentality to work in the live markets. Professional traders know that there are people in the live markets who will walk over dead bodies to get paid and have no qualms about following the smart money to where they are going. Professionals let the smart money lead the way *and do all of the dirty work*, moving and shaking with their money and volume, *why not just learn to do the same and compose a smart plan to enable you to do so?*

<<<>>><<<>>>

My final advice to self-directed crude oil traders looking to make a play

Listen don't fuck around, investing and trading or the business of making money with money as I like to call it, is dead serious and should you try to get cute, fancy or try to sidestep *any part* of the learning for doing it only one thing will happen, you'll get **FUBAR and lose all of your money** *especially* if you're trading crude oil. Matter of fact, all of the professionals are counting on you doing so (getting fancy) in order for them to continue to profit from you, and continue transferring your account to theirs, *is that what you want?*

I'm just trying to give you the brutal truth in trading, and if you're not ready to handle it then you should wait to begin this business until you are, can you Jack screaming **"YOU CAN'T HANDLE THE TRUTH"**. I get a lot of flak from others for letting beginners know what's up however I know it is falling on deaf ears most of the time so I don't really worry about it too much.

I also get a lot of flak for talking about S&D trading and giving some details of how it works in the live markets. People always say why are you giving it away, I'm not really giving any secrets away honestly. *The markets only work on supply and demand and always will*, it's nothing fancy which is why most new traders get in trouble, they think it is complex and it's not.

The reality of the live markets is that there are people in there who are smarter than you, have *waaaaaaaay* more money than you, have better algo than you and are trying to take your money and transfer it from your account to theirs. They don't know you, care about you, or have any feelings if you are having a bad day at the office and lose all your damn money. It's just business. The business of making money with money and it is always *your* money. Don't be *that* trader. Learn to do this business the right way from the beginning and you won't be.

Trading in today's financial markets and crude oil in particular it is competition at the very top level, where the stakes are the highest. Educate yourself to be a competitor and a winner. You want to have success, right? You need to be prepared to work with the best market participants in the world. That's who are in there in the live financial markets and *they are looking to kill your account*. Don't get killed!

The best advice I can give you is *not to enter* the live crude oil market with real money until you are ready. It's really that simple. No one is making you do this

business. You are the boss and in control of what you are doing, *so have some*. Entering the live market and using real money before you are fully ready and confident enough to do so will only cause you to lose money and question your skills.

If you just think about what this book is telling you to do logically, *and* what to study, you can soon be driving you're new Ferrari down the road paved of gold right to the front door of your bank to deposit all of your profits from the success from your new crude oil investing and trading business.

All the different types of investors and traders I know use a rule based plan. They all have different rules for the different methods they trade. Their strict adherence to their rule based plan ensures that they have the edge needed to go into the live markets every day with zero fear and have the confidence in knowing that by following the plan they will be giving themselves the best possible opportunity for a high probability positive outcome and ensuring their long term survival in the live markets.

To really succeed at trading the financial markets, you need to not only thoroughly understand risk reward, position sizing, and risk amount per trade, you also need to consistently execute each of these aspects of money management in combination with a highly effective yet simple to understand trading strategy like price action and supply and demand principles.

Having a plan and sticking to it is one thing that all investors and traders must overcome to be a successful market participant for a long term financial benefit. This should be the goal of anyone considering a business or career in the investing and trading business. Making *some* money every day should be the goal of all investors and traders no matter what asset class you are working in. This is easier said than done though.

Brand new traders tend to self-sabotage their own efforts at the beginning of their trading careers and businesses because they had not learned that there is a lot to know and have mastered before one can become successful in this business. There are a lot of different things we can do to improve our trading, but there are also things we can do to sabotage our trading as well. One of those things is not *getting* or *having* enough information.

It is my goal in this book to give you the information that can help you right from

the start of your new trading business *the first day*. It is so important for traders to start out right from the beginning because the outcome of not having done so is *very expensive* and no one likes to or wants to lose money. Unfortunately brand new investors and traders tend to lose almost all of their money on their first try in the markets.

The average brand new investor or trader who does not do the proper education and training right from the start loses twenty one thousand dollars on average in the first three months of live trading and an average of forty five thousand dollars in their first year. That's ugly if you ask me. *I'll take the forty large if you're just going to throw it out.*

Almost all brand new investors and traders make the mistakes in this book when they first start out. Now that you have read this entire book and know what *not to do* you can have a head start to driving your money train to the bank on a daily basis. I encourage you to read to other books in my beginner's series as they detail how to become consistently profitable right from the start of your business.

You absolutely need to have a competitive edge in the markets, and you *must* have it before you do anything in the live markets with real money. I know I probably sound like a broken record in saying that by now however if you don't develop your edge *before* going into the live financial markets *you're the one who will be broke(n)*. If you run with the 'sheeple of the herd' you can be assured to *not* have any edge. They all study the same information and are all programmed the same way to lose money repeatedly. Don't be *that* trader! Always follow the smart money!

Make no mistake this is a dead serious business and *you should treat that way*. You as a retail investor or trader have a limited chance of having a positive outcome in the live market against the best market participants in the world, not to mention having to try to make money from the machines. It is said that 70% of the market making is done by super computers now. You *can't* beat them however you *can* train yourself to see what they are doing on a price chart and then make money *with* them.

I like to think of it (the market) as a big bank ATM machine because it is open virtually 24 hours a day seven days a week just about. You just need to have the proper PIN# to get your money out. Do the training and education and *do not* make these mistakes in this book and you will be well on your way to having your

own personal PIN# to make *unlimited* money in the live markets every day. While the market *is* like a big ATM that is open 24 hours a day if you **don't** have the *right* PIN# *your money will get sucked into it*, of that you can be assured.

As I said, to make it in this business you must have the 3 p's patience, persistence and perseverance. Here are some extra **tips** I can give you. If I have said it once I have said it 100 million times. Trade smart **OR JUST DON'T TRADE!** If you have to use leverage you should not be investing or trading with real money. Only invest or trade with money that is disposable and can't hurt you if you lose *all* of it. Learn this business right from the beginning on day one. Don't become one of the sheeple of the herd and study what everyone else is doing.

When the market you are working is volatile *take smaller positions*. **Always feel free to take your profit**; the market is always going to be there with more. *Only* be in the market when the liquidity providers are there providing liquidity. You should only *be in* the market if your rule based plan has told you to be in the market and all of the criteria of your plan for executing a live position are there.

Do what the smart money does *where* they do it at and you have a much higher probability of a positive outcome! Trade what you see happening *NOT* what you *THINK* is *GOING* to happen, you can only do this by using supply and demand to trade with. You can't lose any money in the market if you're *not in it*. Never *ever* enter a trend after it has begun, you will only be diminishing your profit margin and increasing your risk. **Never** enter a position when the PA is sideways, hence the *CHOP SHOP*.

If you don't really see an S&D level then hey guess what, **don't enter!!** You don't have to always *be in* the market. If you just *wait* till PA gets to where you need it to be for you to get what you want *you'll get what you want*. Let the market do all the heavy lifting for you. Only do what you know to be true when working in the live market. The value areas are quite easy to spot once you have trained your eye to look at current price action and then look up and left. Spot them, draw your lines accordingly, then *wait (I said wait goddamit!)* for PA to come back and fill your resting order you have waiting. If you are using an automated strategy which I *strongly* encourage you to do, all you will have to do is sit back and wait to get paid. The best advice I can give you is, **always use a stop** and **keep your hand off** that damn mouse!!

Finally it is all about being organized and disciplined. Successful traders have this

down pat. They have developed their trading edge over time and have mastered it and built their trading plan around this edge. Some of these traders even go as far as writing their plan out on paper and keeping it with them at all times. It takes a lot of time and patience to develop this type of system and these investors and traders have taken the appropriate amount of time to get it down which in turn has made them into consistently profitable and successful market participants.

Isn't that what you want to be?

One *last* thing I can leave you with. Remember the smoke and flames coming out of your barbeque because you threw all your money in there and didn't have a rule based plan as to how to work in the live markets, where you are in competition with sharks that are waiting to hand you a loaded revolver that is fully loaded.

Here is one more visual I can give you to solidify how important it is being prepared and competing in the market with an edge over your competition. Remember in the movie Jaws when the boat captain got devoured whole by the shark? He was a stupid ass and went after an advisory underprepared hence the line "you're gonna need a bigger boat". Just imagine your *whole capital account* is Quint the boat captain going down the throat of the shark whole, that's what will happen in the live markets should you decide to go in there without an edge and a proper education, except you'll be saying "I'm gonna need more capital".

Like I said, it's a friggin brutal business so let this be your wakeup call!

<<<>>><<<>>>

Here's your reality check

OK now here we go for a little reality check for you newbie. After you read this chapter, just pretend I punched you in the face *reallllly* hard and took all of your money because that is what is certainly going to happen if you go into the live markets without the proper training and education not to mention a retail trader account size and no rule based plan, you dig?

The moment you click the mouse and enter the live market as a beginner you have entered a shark tank where those of us who work in there every day with real money are circling you before your order is executed. We know *what* you are going to do *before* you even do it because we know that you have not done the proper amount of education and training required to be wandering into the live market. How do we see it you may be asking, we see *where* you have entered your execution order on the price chart, *it is that simple*.

Listen I'm not going BS you and try sugar coat it for you. There are some *badass* people in the live market and they are looking for *you* OK, *are you feeling me now?* These fuckin people *EAT* money OK and they are looking to carve up your beginner trading account up like it is a Thanksgiving turkey, *make no mistake about it*, these people will *walk over dead bodies* to make money and get paid, *you dig?*

None of us care if you are having a bad day in the market and losing your money to us because to us it is just business, we don't know you, care about you, *it is nothing personal*, we are just doing our business as usual because that's all it is to us, business, and that is what it should be to you if you having any fuckin hope of becoming rich from doing this business as a professional.

The live market is no place for a self-directed beginner trader if they have not done the proper amount of education and training required to work alongside the *smart money*. As a beginner and *especially* as a self-directed beginner you have no clue as to what you are getting yourself into when you enter the live market. Yeah, it is all fun and games on demo because you treat it like it is a video game while you are working on it however once you move to live market trading with your hard earned real money the smile will be wiped off your face *lickety split* as they say.

Once you move to live market trading your whole world is going to change, *trust me on this*. There is no way for you to be prepared for the *brutality* and *volatility* in the live market unless you are in it. You are just spinning your wheels on demo with all that trading you are doing because your orders *are not* being transmitted to a live market, there is no one on the other end of those demo trades you are placing so it really doesn't matter what you are doing now *does it?*

Let me clarify what I just said in that last section. When you enter an order in the real time market there *has* to be someone on the other end willing to fill that order, hence for *every buyer* there has to be a seller and for *every seller* there has to be a buyer, supply and demand, it is the only way the live markets work and the only thing that moves PA from one value area to another. Beginner traders have heard it said a hundred million times however they have no idea just WTF it really means and when you wander into the live real time markets with the sharks you find out quick, *reallllll quick*, If you haven't got it, you'd better get the clue real fuckin quick my friend because you are going to go in the live market and get **FUBAR**.

When you are in your learning phase don't treat demo like it is some video game, *it's not* and you will damn sorry you did it *and so will your capital account*. Demo is where you learn your chosen trading platform and how to execute trades with it and how to make it operate to your advantage by creating an ATM (automated trade management) method which will execute your positions for you without you having to do anything or even be in your office for that matter. I will have a chapter on how to do this coming up later on in the book but for now you need to get the fuckin clue here and stop fucking around like you are right now and learn this business *the right way from the first day* because the alternative of *not* doing so is getting **FUBAR** and losing all your capital, *is that what you got into this business for?*

I used to call up or text my mentor and say I had made *this* or *that* in the market and all he would ever say back is ***"did you do it in real money, cuz if you didn't do it in real money it ain't shit, real money is ALL that matters"***. It was like he punched me in the face or the balls and was a brutal reality check that caused me to stop the fucking around and take notice. I tell you this here because if you haven't been using real money to trade with ***you haven't been making real money***. Using real money in the live market *is the only way* you will ever be able to build up your account so you can trade size, once you can trade size you can then

begin to make *serious money*.

Listen to me very carefully now, if you are brand new and just starting out, the sections in this book will be some of the most important information about trading with a contrarian mindset you will ever read about investing and trading in the live markets so I encourage you to take notes or highlight sections or whatever the fuck you have to do “*get it*” because *NOT* getting it will cost you a whole lot of money and then some, *you feeling me now?*

Trust me when I say, I know what you are going to do *before* you do it so have no fear that myself and all of the other traders who do this business with real money are waiting for you in the live markets. Listen I am not trying to sell you anything here like some junkware selling fucking locust OK, no software, no indicators that go ding and tell you when to push the button, there’s no rosy picture here, *nothing*. As I said, we are waiting for you in the live market so we can continue to profit and make our consistent profits, I mean who the hell do you think pays us, *you* that’s who, the sheeple of the herd beginner who is doing what *everyone else* is doing and studying what *everyone else* is studying thus making the same mistakes and losing money like everyone else, *is that who you want to be?*

<<<>>><<<>>>

Bonus section

I put this bonus section in my new trader books because I feel it can help you get a huge head start in developing your edge for working in the live markets. It took me years to find this information and now I give to you in this book as a bonus. *You're welcome!*

This bonus section is just a glimpse of what it is going to take to become successful in the live markets. If you are brand new to this business here are some ideas for using your time in the best way. You first obviously need to have a grasp on all of the data in the above sections. There is a lot of work to do and I hope this section can give you some ideas as to what you need to do.

Demo trading or simulated trading to get the practice of putting on a position and taking off a position is good. It is good for learning how to place your SL and PT and manage them if you work that way. Demo trading is very good to get to know how your software platform works and how to use all the tools it offers you. Drawing lines on your value areas, mapping PA etc.

If you don't have a lot of time right when you first get into this business to practice trading on demo during regular market sessions then what you can do is record the session and then trade it at a time when you can practice. I recommend that you get a trading platform that enables you to do this as it will help you to *cut down* your learning curve and practice time greatly. You want to be in there making *REAL* money don't you? *Do what needs to be done and get it done!!!*

I would like you to always remember that simulated/demo trading *is just that*. You are **not** trading against anyone so it does not really matter what you are doing. There is no one on other side of what you're doing. It is great for learning your chosen platform and learning your system/method. You do have a method or system and a rule based plan *right*? Remember on demo it's really about practicing your strategy and entries and exit's and *that's it*. It will not work the same in the live market so you should prepare yourself with that in mind.

I encourage you to study and use supply and demand trading. You can find a great **free** supply and demand learning thread here:
<http://www.forexfactory.com/showthread.php?t=428204> Alfonso over there does

an awesome job and goes above and beyond what any trader should do to teach new traders supply and demand trading. You should buy him a Ferrari when you become successful. Don't worry that it is a Forex related thread; supply and demand trading works on *any* liquid asset class on *any* time frame you chose to look at and trade from.

Go there and learn with the other new traders who are there. All the rules of using supply and demand for trading are listed on the first page of the thread. There are *plenty* of chart examples as well. You can also do a search online for a foundation and application course for supply and demand. They are online **for free** for anyone who can find the information. There are only 2-3 people who teach this type of trading and you should learn it from whomever you understand the best and are the most comfortable with.

All successful investors and traders I know have a daily pre-market routine. They all do the same thing to prepare for the market every day, the same way, all the time. They are in the habit of doing this every single day. They have a checklist of what their routine is and go down the list every day. They have their notes from their analysis right there so they can see them at a glance.

One of the reasons why professional traders have become successful is because they know what they are going to do *before* they take any action. It is one of the traits that all professionals I know have. They would not *even think* of going into the live market with their real money without having quantified what the price action of the asset they are working in is doing.

You can get a free demo account on think or swim by just calling. Normally the feed is delayed by 15 minutes. I believe however if you call and ask the technical services person who answers the call you can get them to make it so your feed is in real time. This is important in the sense that if you need to make a real time decision to acquire a position the 15 minute delay could be a problem for that.

Here are a couple of capital scenarios for a beginning day trader or swing trader. You can begin to trade immediately in the live market with real on money **on as little as \$500**. Once you have completed your training and education, become consistently profitable on demo and composed your rule based plan for the type of investing and trading you wish to do you can then begin to trade in the live markets with real money.

The live market environment is the only place you can make real money with your account so you should *do it as soon as possible*. By trading live right away you will also be able to test your rule based plan and the criteria you have developed to execute live market positions. If it is not going to work in the live market the market will let you know *right away* trust me on that. The only way you can make real money is to use real money! By trading live right away you will be able to experience both the *good* and *bad* feelings of investing and trading live with real money. You'll find that you become much more emotional when trading real money.

The **only way** to trade in real time as a beginner in the live market with real money and do it **on a \$500 account size** is to trade micro Forex or micro-cap stocks. Only these two types of instruments would allow you to get a taste of the live market with real money and see if everything you have done up to this point *will actually work in real time live with real money*. I recommend that all brand new investors and traders start out in this way due to the brutality and volatility of the markets. Brand new investors and traders have no idea what it will be like in the live market using their real money until they actually do it.

Once you become proficient and consistently profitable with smaller lot or share sizes, you can then just scale you're trading. Once you experience consistent profitable success with small positions, instead of trading more instruments just increase the number of lot or shares for each position.

Model yourself repeatedly after highly successful traders – adopting both their attitudes and behaviors. Find a successful trader or investor or one of each and study them. Look at hedge fund owners who have returned 20% or more over a prolonged period of time. Study them then try to develop a style which emulates this successful method and make one of your own. Before you know it *YOU* will be the one making 20% or more in your business.

The absolute biggest advantage when it comes to being successful in investing and trading, is having stuck with it. That's when you can feel good and know that no one did it but you. The more you try to find the Holy Grail and jump from method to method the less chance you will have to succeed in investing and trading, hence the 97% failure rate. Those of us who *HAVE* made it and *ARE* successful have traveled a *loooooong* road, *which we now cruise our Ferraris on*.

One of the most common traits all of the successful investors and traders I know is that they all use a journal. If you get into the practice of writing down all of your trades in a journal the information in there can be invaluable to you should you hit a rough patch of trading. Trust me **everyone** hits a rough patch at some point.

To become consistently profitable and successful in investing and trading can be a long and very expensive learning curve. To go from being a novice who makes a lot of mistakes to a professional who avoids making them like their life depended on it takes quite a bit of time. A journal can help cut down the time it takes and also help with the learning process everyone must go through.

You might think it takes too much time to journal all your trades however the time you take while doing it is what can be the greatest value of all. The more data you write down the better idea you can have of what is working and what did not work. The journal can and should be used as a self-education tool to further your trading career. I know of no successful professional investor or trader who has not used a journal. They only act on a position if the data points to having had a low risk high reward high probability outcome.

One of the first questions I ask anyone who comes to me for mentoring help is if they use a journal in their trading and if so how long they have been doing it. The information I can look at in the journal can help me to ascertain how I can help them right from the start. I can see their strengths, weaknesses and if they are biased toward any type of trading. I can also look at how they can improve their efficiency and make suggestions on other data they may add to their journal.

In addition to the technical aspects of your trading you record in the journal you can also include how the market was acting, the sentiment, and what the conditions were that caused you to enter a position. Recording this type of data in your journal will give you a reference point to see what conditions you set that were met that gave you the highest probability for having a positive outcome in the market at that time.

Most investors and traders like to think they are very decisive and disciplined. Then they go back and read the notes in their journal and find out they made some mistakes and perhaps even may have deviated from their trading plan. This information can be a good thing in the sense that it will help to improve any problems which may be arising in the daily work in the market.

You must be able rationalize why you did things the way you did them when in the live market. You are in control of all the variables that enable you to have a positive outcome as a market participant. So have some control and journal why you did it a certain way. No one is making you do this business but you.

I always tell clients to think like they are a money manager of a hedge fund or mutual fund. I have them think about how they would explain their choice on entering a position to their client and what the client would think of their reasons to having their money entered into the live market in this manner. If you can't convince the client how do you convince yourself?

Once you have your desired template and the data which you would like to have in the journal you can go back and see your winning positions and then work to emulate those conditions in the future in the live market over and over again. Seeing what you did where and when you did it for a positive outcome can give you trading an edge that will last you forever.

Having a winning edge is what separates the consistently profitable investors and traders from the sheeple of the herd. When you can see what you did right and know what they are doing wrong you can capitalize on their mistakes and realize more profits.

Over time as your account balance builds up it will be just be a matter of adding more size to your positions when entering the same way you have been doing it all along on the winners. That's how *serious money* is made in the markets. If you have learned how to see where the supply and demand value areas are on the price chart this will only add to your edge and give you the confidence to enter with the smart money with zero fear.

Over the long run you will just develop the habits of taking a position without even thinking about it when your conditions are met in the market. The reason is because you have reviewed what works over and over again in the analysis you have done on your journal and know what works when and also more importantly what does not.

Another way that the journal can be of great assistance is in your morning routine. You do have a morning routine *don't you?* You can use the journal as a way to see what times in the market you have been working in that the liquidity

providers are providing liquidity as that is the only time you should be in the market anyway.

You can tell where the supply and demand value areas are going to be because you have already mapped them out and recorded the data in the journal for future reference. It is these value areas that you want to be trading from and taking your profits at. You can even assign them a points system so that you can know when the best time to enter will be.

I suggest you develop a morning routine. Get into the habit of doing the same thing every day all the time. Here is a good morning routine to start getting in the habit of doing every day before you go in the live market to work. Turn on your charts. While the charts are booting up review your journal and any notes you have made. OK charts are up. Look at current PA where is it in relation to the London and Asian sessions? Where is it in relation to the previous day's session? Now look above and left and below and left and see where current PA is. Where are the value areas? Where is the curve at? Draw your S&D value area lines accordingly, and then trade according to your plan.

As a brand new trader and investor you should fully realize that no one book is going to give you all of the information that you need to have to be able to make a living at trading. While there are entire books written on the subjects this book covers. This book is written to tell beginning crude oil traders and investors how to do just that, begin.

Everyone has to start somewhere in this business and you must have the right information from the very first day if you want to become successful in this business. You don't need to know everything all at one time nor could you. You don't have to learn how to trade every asset class and how to become an expert in every conceivable aspect of trading. You should concentrate on becoming a *specialist* versus being a *generalist*.

You should focus on one market at a time and *become an expert at it*. This will enable you to make a very good living. A trader friend of mine said to me one time. "Why do you want to learn a bunch of markets when you can just add another contract to what you are already doing that is making you money"? It was like he punched me in the face. Talk about an AHHHA moment!!

Supply and demand trading is by no means the only way to trade the markets, *it is*

however the *only* thing that makes price move in a market and you need to fully understand that and have a complete grasp of the principles of supply and demand to be a money maker and have an edge in the live markets.

All brand new traders think they need some magic indicator or system to make money in the markets and that could not be further from the truth. This book has given you the ***truth in trading*** which is that the markets only work on supply and demand, *period*! Honestly, the sooner you can wrap your head around what I just said the more money you make in the live markets.

You can do anything you want on a demo platform because no one is on the other side of your trade. When you try to do all that crazy stuff you do on demo in the real world in the real markets you will undoubtedly lose *some* or perhaps even *all* of your hard earned money so don't you owe it to yourself to learn this business the right way from the first day with the best information?

If you go into the market without having done the work required to learn this business thoroughly the market will punish you beyond your wildest imagination *make no mistake of that*. You might think you can learn a couple of chart patterns and set ups and perhaps a little risk management but trust me when I say that all of us who are in the market every day and make money in the market everyday can see you coming a mile away and know that you have not fully prepared and educated yourself.

Your lack of education and knowledge makes you stand out like a sore thumb in the live market and you can be seen making the same mistakes over and over and over again in the same way all the time and those professionals and smart money players just capitalize on the lack of education and knowledge that the brand new investor and trader has until they do finally "*get it*" or we have taken all of their money and transferred it from their account to ours. That's *all* the market is really is a transfer of accounts and money to those who know what they are doing and are completely prepared, and work from a rules based plan at all times from those who do not.

The best thing about the market is that it is there every day waiting to pay out the trader who is ready to do business. There are brand new people stepping into the live market every day who are in no way, shape or form ready to deal with the brutality or volatility that can happen in a nanosecond in the live markets on a daily basis *especially* in crude oil. Those of us who work in there and know *what to*

do and *when to do it* just capitalize and make our money from those who don't know what the hell just hit them. *Which trader do you want to be?*

Listen don't take my word for it, talk to some real money traders and investors and ask them questions. I was fortunate to be brought into the business by someone who was a real money trader and then found a mentor later on after I was already trading with my own real money. He was able to help me move to the professional level.

My choosing to write **How to Swing Trade Crude Oil for High Profits** for all the brand new traders and investors just in the beginning stages of their learning curve is the reason I feel there is nothing out there that tells you everything that is important to know to make real money versus just telling you something that will help you learn to trade. The business of making money with money is *very serious* and you should have your head on straight *before* you ever begin to use real money to work with.

I have no "system" or magic indicators that will go "ding" and tell you when to enter a trade to try to sell you. No hopium pills here. Just the *real world* information that you need that will help you to become a consistently profitable trader with an edge on a daily basis if you follow what it says to do in here in this book. I don't have a fancy "trading room" or service to try to sell you, hell I don't even have a freakin website.

I am fortunate that I *actually do live* the trader lifestyle everyone is so keen on attaining. I have chosen a way of trading that allows me to have all of the free time I could ever want or need and still make plenty of money. That is why I am able to sit down and write a book like this for all of the brand new people who want to get into this business and need some basic starting information from someone who actually *really is* a swing trader and investor and not someone who is just a book marketer.

How to Swing Trade Crude Oil for High Profits is a true to life factual book about how I came into this business and how I got the level of proficiency that I am at today. No one taught me to do this business. I am self-trained and self-made as far as how I got to be where I am today. I started out with my own risk capital and did not have any outside funding at all. I built up my account from nothing to be able to trade in the manner I do today.

I will say again that it is always better if you can find a mentor to help cut down the long learning curve there is in this business however it *can* be learned on one's own if you have the proper amount of time to devote to it.

I *strongly* recommend that any new trader tries to find a mentor if possible; a professional real money investor or trader who can answer questions from a real, live market perspective, someone who only invests and trades with real money. Experienced investors and traders can be of great value to the novice retail trader due to their knowledge base and their developed mental abilities to work in the markets full-time, using real money.

New investors and traders have a lack of psychological knowledge that in the beginning is a detriment to them, and they are their own worst enemy at this point. I would call or text my mentor and say I just did *this* or *that*, and he would just say, "In real money?"

I had doubled my demo account four months in a row on demo. Then instead of resetting it again, I let it go and took it up to over three hundred thousand dollars. Once I had done this, he urged me to go in the live market and see if I could really do it with real money. I finally went live and never looked back. I still have an occasional losing day now and then, though. No one is perfect. *No one!*

What I mean by a losing day is not making *any* money and *giving the market* some of my own money. That is my definition of a losing day. What's yours? I would rather light myself on fire or eat broken glass and wash it down with gasoline than give the market any of my own capital.

I encourage you to get help even if you have to pay for it. The amount of time it can cut off your learning curve will be well worth the money spent, and the return on investment will be tenfold. It won't be inexpensive as most professionals are in the market and monitoring whatever positions they have and to mentor you means they need to take time away from what they need to be focused on so be prepared to pay if you want professional help.

The mentor I had and still call and ask questions to every now and then, trades a very large account and does very well. It is all he has ever done for a living all of his life. I did not have a mentor for live trading until I was already doing it and making some money consistently however as I said above if you can find someone who

can help you from the start it will *greatly reduce* your learning curve.

As I said *you* are your own worst problem when you are just starting out in this business and a mentor can greatly help you from being a detriment to yourself and keep you from self-sabotaging your trading. To many times people come into this business with dollars signs rolling around in their eyes like some old cartoon.

As has been said before, this is not a get rich quick business unless you are a hedge fund, and using OPM (other people's money) and leverage or both. It is precisely the opposite for retail traders. It is a very slow growth of your equity curve and your trading business.

Don't get me wrong. You *can* and perhaps *may* make a lot of money in this business. Depending on the amount of capital you choose to deploy in the live market at any given time. The trader who mentored me is a full time trader who trades a *very large* account size. This business is all he has ever done for a living and the only "job" he has ever had. There are days where he pulls out five to ten thousand dollars or more. He is a former bond pit trader so he has firsthand knowledge of the inner workings of the market.

I actually never *had* a mentor until I was already trading live with real money. He would ask how I was doing and I would be cagy and answer "making a little" Interestingly, he does not trade anything like I do. He is more of a quant than anything else, he likes his numbers. I do *what* the smart money is doing *where* they are doing it from and make my money along with them *so should you*.

I am self-taught and self-made and did it all on my own which makes the success all the sweeter. All of the businesses I own I have started on my own with no help or money from anyone. *I just did it* and you can too.

How to Swing Trade Crude Oil for High Profits affords readers who are brand new to swing trading and investing the opportunity to really learn and expand their knowledge base as new crude oil traders from someone who came up on his own and trades and invests and trades with real money on a daily basis. This book should be a *must read* for novice and inexperienced traders looking to build on their foundations and strategies.

It is my hope that one day it could be taught as a course at all of the top business

schools and should be *required reading* for anyone who has *zero* knowledge of trading and investing who wants to get into it and do it as a business. If you know someone who wants to trade please let them know about this book.

How to Swing Trade Crude Oil for High Profits gives you a great idea of what it will really take to become a successful consistently profitable trader on a daily basis. There are *zero shortcuts* to success in this business and there is only fortune to be had by those who take the right approach and learn the business the right way from the first day. Anything else is not acceptable when your hard earned money is at stake *right?*

As far as all the rules and regulations of trading are concerned for individual self-directed traders I encourage you to know what ones are pertinent to the style of trading and investing you intend to do for your business. I cover a couple of them in this book however you must do your own due diligence on what is the best way to trade and invest for *you* once you have the information you need.

I hope you have enjoyed this bonus section as it will serve you well if you follow the advice I give in here. No one wants to spend a lot of time doing all the education and training to do this business only to find that they lose money right away. Making a comfortable living from investing and trading the financial markets is *completely possible* if prepared for in the right manner.

If you start off small a build on success you will have a much better chance of having long term success and longevity in the business.

Oh and one last thing.

Don't stay long too long!

<<<>>><<<>>>

Extra links

This is a great **free** supply and demand learning thread

<http://www.forexfactory.com/showthread.php?t=428204>

Here is a link to a video that teaches how to draw the proper type of lines around a supply and demand value area. https://www.youtube.com/watch?v=jRjdR_kPMYw

Much more information on crude oil futures can be found on the CME website, The CME is: www.cmegroup.com.

You can look at some historical charts and get data at <http://www.macrotrends.net/>

Here is a great link with a lot of frequently asked questions by brand new traders and investors. <http://education.howthemarketworks.com/stocks/beginner/practice-stock-trading-questions/> I encourage you to have a look and try to absorb a little bit of the basic information at a time. You don't need to know it all by heart verbatim however it can help you to understand some of the mechanics of how the markets work.

This link helps you to have a better understanding of how crude oil stocks are affected by supply and demand.

<http://www.investopedia.com/university/stocks/stocks4.asp>

The next links will really peel your eyes open and make you think if you really want to get into this business or not. All links provided in this section are working as of the writing of this book.

https://en.wikipedia.org/wiki/Fractional-reserve_banking

<https://www.youtube.com/watch?v=TcGldf0UFXU> this video is long and I suggest you watch it in 30 minute segments and then try to digest the data. It's scary because some of things the presenter is talking about happened in 2008 and he is talking about them in what I would guess by the clothing and cars is the 1980's. 2008 financial crisis had not even happened yet.

This next video will only compliment the one just above and you should watch it and pay strict attention to some of the things the people being interviewed are

saying.

<https://www.youtube.com/watch?v=z7nTplUffXg>

I encourage you to share these last two videos with everyone you know and love.

<<<>>><<<>>>

Glossary

Glossary of terms and abbreviations

ATM = automated trade management

AMM = Automated Market Makers

AI/AO - All in all out

Base or basing = an area where price is moving sideways and price is in balance.

BP = Big or bigger picture

BO = break out

DD = Due diligence

EOD = End of day

EOT = End of trend

ERC = Expanded range candle

FUBAR = fleeced up beyond account recovery

HH = Higher High

HL = lower high

LL = lower low

LH = lower high

HFT = High frequency traders

IMO = in my opinion

IPO = Initial Public Offering

S&D = Supply and demand

SM = Smart money - banks, large institutions, hedge funds etc.

TMI = too much information

MTF = multiple time frame analysis

PT = profit target

SL = stop loss

FOMO = fear of missing out

TC = Trend confirmation

ONL = overnight low

ONH = overnight high

OB = over bought

OS = over sold

PA = Price action

PM = Profit margin

PDL = previous day's low

PDH = previous day's high

SPEC = speculator

S&R = support and resistance

Range bound = sideways price action

TF = time frame

Trending = PA is in an up or down trend

ROI = Return on investment

RTH = Regular trading hours

TA = Technical analysis

TL = trend line(s)

TOS = Think or Swim

VAP = value area proximity

<<<>>><<<>>>

Disclaimer

This book is for educational purposes only. Futures, options, equities, and spot currency trading have large potential risk and traders should be well-educated before putting real money at risk. You *must* be aware of the risks and willing to accept them in order to invest in all markets. *Never trade with money you can't afford to lose.* This book is neither a recommendation or solicitation, nor an offer to buy/sell a futures contract or currency.

Forex, futures, stock, and options trading *are not* appropriate for everyone. There is a substantial risk of loss associated with trading these markets. Losses *can* and *will* occur. *No* system or methodology *has ever* been developed that can guarantee profits or ensure freedom from losses. *No* representation or implication is being made that using the trading concepts methodology or system or the information in this book will generate profits or ensure freedom from losses.

HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, **SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING**. ALSO, SINCE THE TRADES HAVE NOT BEEN EXECUTED, THE RESULTS MAY HAVE UNDER-OR-OVER COMPENSATED FOR THE IMPACT, IF ANY, OF CERTAIN MARKET FACTORS, SUCH AS LACK OF LIQUIDITY. SIMULATED TRADING PROGRAMS IN GENERAL ARE ALSO SUBJECT TO THE FACT THAT THEY ARE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFIT OR LOSSES SIMILAR TO THOSE SHOWN.